

CARVANA CO CVNA S

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by

Thor25

2025 2026

Price:	455.00	EPS	5	7.3
Shares Out. (in M):	211	P/E	90	62
Market Cap (in \$M):	95,000	P/FCF	150	0
Net Debt (in \$M):	4,000	EBIT	0	0
TEV (in \$M):	99,000	TEV/EBIT	0	0
Borrow Cost:	General Collateral			

Description

After an incredible operational and financial recovery from the lows capped off by S&P 500 inclusion, Carvana is now a compelling short. We believe:

1. Current finance margins and GOS rates will prove unsustainable, particularly those earned via private fixed-pool loan sales, where we estimate CVNA is currently earning ~16% GOS vs. 7.3% on its most recent public ABS deal.
2. Competition from dealer groups will increase, including from those with online checkout and home delivery capabilities, pressuring CVNA's retail and finance GPU while forcing CVNA to increase advertising spend.
3. Amazon Autos will materially increase its partnerships and integrations with dealer groups in 2026. After launching with Hyundai for new cars only Amazon expanded into used cars with Hyundai, Ford and Hertz Car Sales over the course of 2025. Amazon Autos boasts an array of financing partners and unmatched brand awareness, logged in user base and NPS, giving it significant advantages in top of funnel user acquisition vs. Carvana.
4. Carvana's operational capabilities and competitive advantages, while impressive, are overstated. The Company has had to rely on rescue financing or debt restructuring at three separate points in its public company lifecycle, and has made numerous unforced errors, which belies the hagiography of CVNA management and its CEO Ernie Garcia III.
5. CVNA has benefitted over the past several years from being long used vehicle supply and reconditioning capacity, with the 2022 Adesa acquisition materially enhancing IRC capacity, and generous customer trade-in offers helping to maintain inventory. However, gains in SG&A / unit and GPU have leveled off in recent quarters and we believe reflect likely near-term peaks. Meanwhile, demand catalysts from recent years (new vehicle shortages, buy-ahead with tariffs) create tough comparisons into 2026.
6. Regulatory and legal risks to the Company remain underappreciated. After well-documented title issues led to fines and penalties in certain states coming out of COVID, there continue to be several regulatory and legal proceedings that pose a material risk to CVNA. In particular, in its Q2 2025 10-Q filing, CVNA disclosed an SEC investigation into the Company concerning "the matters raised in the [Hindenburg Research] report," which include allegations of accounting fraud. In 2022, CVNA was also sued by two state pension funds as lead plaintiffs in a securities class action case run by Robbins Geller, and this case is winding through the courts.
7. Carvana's corporate structure replete with related party dealing, combine with high insider ownership (with the "man behind the curtain" Ernest Garcia Jr. continuing to own ~20% of shares OS) creates risk to investors. In addition to potential issues with DriveTime, SilverCrest, Bridgecrest, and Cerberus purchasing CVNA loans while Dan Quayle, Cerberus Chairman sits on CVNA's Board, we note that Garcia Jr. launched an additional entity in 2022 - "GoFi." GoFi provides AI loan origination services to dealer groups.

Carvana's turnaround

There are plenty of CVNA bulls on this board and many have laid out the bull thesis and the turnaround story in fulsome detail, so we won't spend too much time on it in this writeup. We give credit to CVNA for building out a superior online user experience with convenient checkout capabilities that clearly appeal to consumers, which has fueled CVNA's superior unit growth rate and rapid share gains. CVNA seems to have uncovered a segment of the population for whom convenience and the low friction of transacting online and receiving home delivery can outweigh conventional economics, with many cars at CVNA selling for prices above comparable pricing elsewhere, and both prime and non-prime financing often priced at quite unfavorable terms for consumers.

In recent years, Carvana has paired this superior online UX with much better operational metrics on SG&A per unit and GPU. The inflection point came following CVNA's restructuring after its near-death experience in 2022 and following the Adesa acquisition, which provided significant IRC capacity and, in our view, effectively funneled what would have been large step-ups in Capex and Opex to support future unit growth into M&A expense. From a trough of \$2200 in GPU and \$7300 in SG&A / unit in Q4 2022, CVNA peaked at \$7400 of GPU in Q324 and \$3800 SG&A / unit in Q325. Wholesale GPU has also improved from \$400 to \$1033, resulting in best-in-class EBITDA margins and EBITDA per unit of \$4000 / 11.3% as of Q325.

Income statement performance has flowed down to the cash flow statement. After burning over \$10bn of cumulative FCF through FY22 inclusive of Adesa, CVNA generated ~\$800m in FY23 and \$900m in FY24, with FCF through 9 months of FY25 tracking at \$500m, down about \$300m YoY due to inventory build. At today's price of \$455 / share, this puts CVNA at an EV/EBITDA of around 44x FY25 and EV/FCF of 150x, reflecting the market's great enthusiasm for its future growth prospects. Management has guided to 20% - 40% unit growth and a medium-term goal of selling 3m cars per year in 5 - 10 years vs. today's 600k run-rate. At \$4k EBITDA / unit this would imply \$12bn of EBITDA putting the stock at ~8.5x medium-term EBITDA, if achieved.

Why We Are Short

1. Finance margins and GOS rates will prove unsustainable.

One of the key facets of Carvana's business model is its role as an originator of near-prime and subprime auto loans. By making credit freely available to consumers in a frictionless, eCommerce environment, CVNA feeds its retail unit growth flywheel. Anybody with an income of \$10k or more, 18 and over and no CVNA loan defaults in the past 2 years can buy a car on CVNA, a loose set of guidelines that actually used to be even more lax before the 2022 NDE. CVNA actively buys keywords on Google catering to deep subprime buyers or at least people who know their credit is bad and fear they won't be able to buy a vehicle, for example:



i have bad credit and need a car loan

AI Mode **All** Short videos Forums News Shopping Images More ▾ Tools ▾

Sponsored result



Carvana

<https://www.carvana.com>

Bad Credit Car Loans

All Credit Accepted — Get An Instant Bad Credit Loan Approval With Options Including Low Payments - Apply Now! Get...

\$500 Down Payment Cars

Choose From Hundreds Of Cars Financed With Only \$500 Down



Financing For Bad Credit

Bad Credit? Not A Problem. Get Approved From Your Phone And Shop Online Now.



Used Cars Under \$18,000

Shop Used Cars Near You Priced Below \$18,000.



\$300 Monthly Payment Cars

See If You Qualify. Get Your Real Terms Now!



All Cars Under \$20,000

Find Almost Every Make & Model at Low, No-Haggle Prices. Start Here!



Incidentally, a migration in consumer habits away from search and to LLMs could seemingly harm CVNA, for example Gemini had this response to our prompt:

Buying Cars With Bad Credit ▾

if i have bad credit, where would i be best served buying a car between various dealer options including Carvana, Carmax and others? Please give me a thorough rundown of pros and cons and don't fall for marketing too much vs. 3P trusted feedback



Show thinking ▾

If you have bad credit, the "best" place depends on whether you prioritize **approval odds** (getting a car no matter what) or **vehicle quality/safety** (not buying a lemon).

Here is a thorough rundown comparing the major players, stripping away the marketing to focus on third-party trusted feedback and the realities of subprime financing.

focus on third-party trusted feedback and the realities of subprime financing.

The Executive Summary

- **Best for Quality & Safety: CarMax.** Their vetting process is generally superior, and they work with multiple lenders, increasing your chance of a slightly better rate.
- **Best for "Impossible" Credit: DriveTime.** They are the brick-and-mortar version of Carvana (same ownership roots) specifically designed for deep subprime credit. You *will* get approved, but you will pay a premium.
- **Best for Convenience (with high risk): Carvana.** Easy approval, but you are playing "roulette" with vehicle quality and title issues.
- **Best Tool to Use First: Capital One Auto Navigator.** Use this to get a "soft" pre-approval before walking into *any* dealership. It gives you a baseline rate so dealers can't markup the interest as easily.

In addition to fueling CVNA's transaction velocity, these "frictionless" originations are also incredibly lucrative, reflecting a historical lack of qualified competitors in the buy online segment and the seemingly strong borrower performance of this cohort. As has been widely discussed, CVNA retains only ~5% of loans originated on its balance sheet in the form of residual interests and sells the remaining interests via privately negotiated sales or in the public ABS markets, generating a gain on sale (GOS), in a feat of balance sheet and ROIC efficiency. This practice is relatively rare amongst publicly traded auto lenders / dealers despite its obvious attractiveness as a model. In 2024, CVNA generated \$755m of EBITDA from GOS, or 55% of annual EBITDA; in 9M 2025 CVNA generated \$878m from GOS, or 51% of YTD EBITDA. Since troughing at ~5-6% in 2023, CVNA's GOS margin (expressed as GOS / sold receivables) has moved steadily higher to reach a peak of 10.1% in Q125, and 9% in Q325.

CVNA offloads a significant amount of its originations to Ally Financial, a backer of the Company since the IPO via a floorplan facility and in recent years via a Master Purchase and Sale Agreement (MPSA) accounting for 50% or more of CVNA originations. While much of the MPSA is redacted, we assume that the bulk of the MPSA loans are prime or near-prime in nature and that CVNA's GOS economics on these "anchor tenant" loans are attractive if not eye popping at a mid-single digit % GOS. By contrast, CVNA's subprime ABS deals have yielded GOS in the range of 10% over time (peak 13.9% and trough 5.3% over the past few years). Essentially, Ally guarantees CVNA a significant amount of volume, but the most lucrative deals have been the sale of non-prime and prime ABS. At Q325 earnings, CVNA announced an expansion of the Ally facility from ~\$4bn to ~\$6bn through October 2027, supporting continued growth through this channel.

When a public ABS deal is issued, there are audit procedures performed, with Carvana turning over a data file to Deloitte that is then tested for various factors to make sure the contracts conform with the file. For CVNA Prime issuances, these files have contained between 5% to 52% of the total loans in the pool, significantly below Carmax (for example), for whom around 85 – 99% of total loans are sent to KPMG for verification. [CVNA also does not have the auditor test for VIN](#) or model as part of the agreed upon audit procedures (AUPs). It's not quite "trust me, bro," but it is a much looser set of AUPs and more prone to potentially significant errors. For example, scenarios where VINs do not match -- implying differences in the underlying collateral, or the worst case scenario of "double pledging" as [occurred with Tricolor](#) – would potentially escape notice under CVNA's AUPs, but not KMX's. Note that JPM recently did a 100% collateral verification of its auto exposure post Tricolor, but Ally did not make the same claim as of its last earnings report:

issuance	total loans	auditor data file %	data file FICO	Towd / HF ABS sale
Carvana 2025 P4	35692	16202	45%	7081300m?
Carmax KMX 2025 4	48687	48145	99%	758.9
Carvana 2025 P1	24964	6161	25%	702800m
Carmax KMX 2025 3	65695	60608	92%	758.1
Carmax KMX 2025 2	65118	56140	86%	758.7
Carmax KMX 2025 1	63221	54701	87%	759.1
Carvana 2025 P2	25968	12097	47%	7021200m
Carvana 2025 P3	38802	20192	52%	7021100m
Carvana 2024 P4	25122	1354	5%	700m
Carvana 2024 P3	26064	8323	32%	701400m
Carvana 2024 P2	20884	6714	32%	702400m
Carmax KMX 2024	59515	58286	98%	758.6
Carmax KMX 2024 3	59040	57645	98%	757.4

There has been discussion online about CVNA's ABS performance and quality, from Unicus Research and The Last Bear Standing, and the sell side, among others, that we won't belabor here. Some vintages have had poor performance but in general, from what we can see publicly, CVNA deals have held up, hence continued demand for the securitizations. The loans are serviced by Bridgecrest, which is wholly owned by DriveTime, which is owned by Ernest Garcia Jr, so there are some questions as to whether the related party servicer Bridgecrest could be funding losses in the pools, but we are aware of no hard evidence to support this suspicion.

For whatever reason, since 2024, CVNA has eschewed running subprime ABS issuances in favor of selling its subprime loans in fixed pool sales to large buyers. Interestingly, this timeframe is also when CVNA turned over only 5% of loans in its 2024-4 Prime deal to Deloitte. While fixed pool sales started out relatively modestly at \$400m in Q224 and Q324 respectively, by Q424 they reached \$700m, ramping to \$1.1bn by Q325. In January 2025, [Hindenburg research's article](#) hypothesized a likely connection to Cerberus Asset Management as the buyer of the Q2 and Q324 pools based on entity formation and UCC public records. Dan Quayle, Cerberus's CEO has also served on the Carvana Board since IPO, and the Company has seemingly not disputed the connection to Towd Point Auto Trust, while also maintaining that this was not a related party transaction meriting disclosure or discrete accounting treatment. On its Q325 earnings call, Carvana announced that two fixed pool purchases had each signed commitments worth \$4bn over the NTM (\$8bn total), "formalizing existing

relationships” and setting volume targets. Based on [past reporting from Spruce Point](#), we believe it is possible that the other fixed pool purchaser could be affiliated with [Mark Walter of CVAN holding](#), a longstanding CVNA shareholder holding 6 million + shares and a 13-G filer, via Guggenheim, Group 1001 or another entity (we have heard only that the buyer is an insurance company).

What is perhaps most interesting about these gargantuan private pool purchases of CVNA subprime paper is that they are also powering eye-popping economics. In fact, assuming the Ally channel is running consistently at ~6% GOS, the implied GOS for fixed pool sales from Q424 to Q325 has risen from 12% to 16%, economics far in excess of a “normal” ABS GOS in the 8% - 10% range. These private pool offloads should theoretically monetize below public ABS given certainty / speed of execution and volume for the seller, but they are monetizing far above. Stranger still, whereas CVNA’s publicly reported Prime ABS issuances saw declining sequential GOS economics in Q2 - Q4, dropping from 14% in Q125 to 8.5% in Q325 to 7.3% for the public Q4 prime deal, implied private pool GOS spiked to 16% in Q3 from 13% in Q1, bucking the industry trends and those of CVNA’s own ABS:

	Q124	Q224	Q324	Q424	FY24	Q125	Q225	Q325
Prime ABS GoS (Public)	\$ 43.27	\$ 59.32	\$ 88.47	\$ 76.48	\$ 267.54	\$ 84.29	\$ 62.49	\$ 85.87
GoS Margin	10.98%	11.70%	13.85%	12.23%	13.98%	9.61%	8.49%	
ABS GoS	\$ 87.17	\$ 136.86	\$ 156.14	\$ 76.48	\$ 456.64	\$ 120.37	\$ 62.49	\$ 85.87
MSPA + Fixed Pool GoS	56.70	36.14	67.86	137.52	298.22	152.63	211.51	245.13
MSPA Sale	900	500	700	900	3,000.00	800	1200	1200
Fixed Pool Sales	\$ -	\$ 400.00	\$ 400.00	\$ 700.00	\$ 1,500.00	\$ 800.00	\$ 1,235.71	\$ 1,100.00
MPSA GoS	56.7	20	42	54	172.70	48	72	72
Fixed Pool GoS	\$ 16.14	\$ 25.86	\$ 83.52	\$ 125.52	\$ 104.63	\$ 139.51	\$ 173.13	
YoY Growth in Fixed Pool GoS / EBITDA					\$ 104.63	\$ 123.37	\$ 147.27	
Assumed Ally MPSA Margin	6%	4%	6%	6%	6%	6%	6%	6%
Implied Fixed Pool GoS		4%	6%	12%	8%	13%	11%	16%

It stands to reason that unless Cerberus and the other buyer lack all economic sense and negotiating skill, this pattern is unlikely to persist. Indeed, Carvana forecast softer economics in Q425, noting that they planned to “reinvest savings” to consumers. As mentioned, we have observed a ~120bps degradation in sequential prime ABS economics for Carvana 2025 P-4 in the quarter; were private pool sales to reset to these ABS economics at the start of Q4, we estimate that fixed pool GOS would decline by nearly \$80m q/q with 100% EBITDA flow through. Given timing of signing, the \$4bn purchase agreements with Cerberus and the other buyer could create a reset of these economics as soon as the second half of Q425, with the full impact being felt in 2026.

We believe longs are currently anticipating that a Q4 top line beat driven by strong retail units will flow through to EBITDA, driving results in the range of \$580m for Q4, ~10% above street estimates. Shareholders like Captain Ayub also apparently expect \$3.5bn or more of EBITDA for 2026 (Street \$2.95bn). In our view, the likely EBITDA headwinds resulting from a reset in private pool GOS rates creates an asymmetric setup on the short side into Q4 earnings and 2026 EBITDA guidance. Any adverse change in market conditions or financial circumstances for these private purchasers could also negatively impact CVNA and its ability to fund growth without resorting to warehousing customer loans, which at best would have the impact of drastically curtailing unit growth.

2. Competition from dealer groups will increase and 3) Amazon Autos will materially increase dealer capabilities in 2026

In recent years, once asleep at the wheel dealer groups have significantly improved their buy online capabilities. [Carmax currently offers buy online](#) with home delivery to locations within 60 miles of a dealership and offers a competitive vehicle search and purchasing experience along with KMX’s superior warranty and 10 day money-back guarantee. [KMX is also imitating CVNA’s at home pickup](#) for sellers of cars as of November 2025. Lithia’s Driveway 5 and Group 1’s Acceleride platforms also offers home delivery, while Autonation’s Express checkout offering is geared towards customers seeking to buy online and pickup in store. Hertz Car Sales has launched a national ad campaign featuring Tom Brady leaning into the buy online and home delivery experience.

Of course, none of these dealers can offer quite the same quality of experience as CVNA, but the gap has been narrowed significantly and will likely continue to do so. While CVNA’s economics over the past two years are extremely impressive and unprecedented, physical dealerships still have certain advantages with respect to customer acquisition, vehicle service / parts revenue, and the obvious ability of consumers to test drive. In many cases, we have observed pricing on sites like Hertz Car Sales to be significantly below Carvana pricing by 10% or more for similar vehicles. When combined with the potential for these rival dealers to accept more modest loan economics, competition poses a material risk to CVNA unit growth and profit margins.

To date, CVNA has dominated mindshare for online purchasers of cars, however this could be on the cusp of changing given the launch of [Amazon Autos](#). Amazon Autos was launched in late 2024 and now boasts Hyundai and Ford new & used vehicles on platform, along with a major partnership with Hertz Car Sales. Obviously, AMZN is one of the best consumer brands and one of the best run companies in the world, with 180 million Prime customers likely representing the bulk of the US used car buying public. Though it sounds improbable, [a recent WSJ article](#) spotlighted a consumer pairing his purchase of an \$8 USB cables with a \$45,000 Hyundai Santa Fe, quite the impulse buy! Amazon obviously boasts a wealth of user data, incredible digital execution capabilities, and has partnered with [Chase](#), [Wells](#) and [Santander](#) as financing partners.

Our checks on Amazon Autos from the dealer perspective are positive, as they are on Amazon’s advertising DSP’s (ADSP) performance for automotive dealers. We believe Amazon Autos and ADSP should be viewed as part of a platform strategy by Amazon to target the automotive market and help traditional dealer competitiveness in auto eCommerce. For example, using ADSP local dealer groups can precisely target in-market shoppers on CTV services like Hulu, Roku and Netflix, independent of their integrations with Amazon Autos. For now, Amazon Autos is a lead platform for dealers, which, given Amazon’s scale and trusted brand, still poses a problem for CVNA as awareness of the offering grows. Combined with the top of funnel impact identified earlier from user migration to LLMs, which are seemingly not as favorable to CVNA as Google search relative to Carmax and local dealers, we see CVNA as needing to increase advertising spend at or above the rate of revenue growth, limiting operating leverage.

There are also two step function risks to think about with Amazon Autos. First, Amazon could attempt to help dealer customers as a coordinating logistics partner for home delivery. Second, they could strategically enter the 1P market via acquisition of a physical dealership, similarly to with Amazon’s acquisition of Whole Foods. We imagine they would likely enter the used market specifically to avoid alienating OEMs and would thus buy Carmax. Either of these moves could potentially accelerate Carvana’s competitive share loss and the existence of Amazon as a serious player in the automotive market should cause some discount to be applied to CVNA’s valuation as there is an embedded short put on AMZN competitive escalation at these levels.

4. The current narrative about Carvana glosses over its true history

While we can't deny the impressive operating metrics of 2024 and 2025, it's worth revisiting how we got here. In 2017, CVNA went public in a busted IPO, frequently missed its profitability guidance, and required an infusion of \$100m in convertible preferred from fellow subprime auto guru Tom Dundon, the founder of Santander Consumer USA. Profitability consistently lagged, cash flow bled to the tune of billions in negative FCF, and the Company again required emergency funding at the outset of the COVID pandemic as securitization markets froze. Insiders stepped in to buy, leveraging proceeds from stock sales made at higher prices. Then the stock went to \$300, but rather than delever with equity sales, CVNA bought Adesa and took on senior secured debt from Apollo that nearly ran them into bankruptcy in 2022 – 2023. Along the way, many hundreds of millions / billions were taken out by executives selling stock (including virtually all NEOs and Board members for all of this year). So yes, the comeback is truly amazing as is the rise in the stock from \$3 to \$500, and greatness can absolutely be forged during dire times, but there is a pattern of boom and bust at this Company dating back to the IPO. No executives or Board members changed over during these past peaks and troughs to inject more discipline, independence or new perspectives (other than Neha Parikh, an independent board member, who joined in 2019 but chairs no committees). We don't think this time will be any different.

5. CVNA has benefitted over the past several years from temporary / cyclical tailwinds

While Q1 of 2026 has been flagged as a potentially strong quarter for consumers due to tax refunds from the OBB, and this could absolutely prove to be the case, macro headlines and data suggests the lower and median income consumer remains stretched. Tariffs may have been an underappreciated tailwind to the used car market in 2025, as customers bought ahead. CVNA's propensity to pay top dollar for customer trade-ins has also been rewarded in a market where used car prices have generally remained stable or edged higher, but this is a cyclical and temporary advantage and traditional dealer groups are coming up the curve on customer buybacks and offering them irrespective of trade-ins. The Adesa acquisition also allowed Carvana to substitute acquisition cash outflows for capex (which ran at ~2.5% of sales on average over the past 10 years but has been deminimus in 2024 and 2025) and opex that would otherwise have been spent catching up on logistics / IRC capacity. Going forward, we believe capex and opex will have to step back up to scale unit growth, and management seems to be tacitly acknowledging this judging from recent sell side notes which, while gushingly positive, point to the need to invest in full inspection center conversions from Adesa at substantially higher costs than the \$2 - \$3m to simply "integrate" an Adesa site:

ADESA

- CVNA expects to integrate 10 ADESA sites in 2025 (reaching 15 in total), with a similar cadence likely to continue in 2026.
- CVNA plans to begin construction on full build outs at select ADESA locations in 2026, and while these will be more capital intensive (vs. \$2-\$3M for ADESA integrations), production should be closer to peak levels at a CVNA built IRC (of 65,000 units per year).

We understand that CVNA has lots of cute-named AI assistants, from CARLI to Shaqbot to Sebastian. We ascribe little long duration value to these because if one thing is clear, it is that in the age of AI product cycle iteration is markedly accelerated, and if Amazon is on the other side, all the more reason to doubt the durability of these systems as true competitive advantages.

Autonomous vehicles are another long term threat to Carvana as even if households still buy cars, they will buy fewer cars. In the shorter term, disruption to certain labor markets (Uber / Doordash drivers) as a result of AV could also dent the used car market.

6. Regulatory and legal risks to Carvana are underappreciated by the market

Most investors gloss over regulatory and class action risk – and for good reason. These proceedings take years to conclude and often end with, at most, a "slap on the wrist" for management perpetrators. In the case of Carvana, however, we think these proceedings pose a real risk to equity holders. In March of 2020, CVNA disclosed it had received an informal inquiry from the SEC regarding "related party disclosures and accounting policies and procedures for historical loan sales and refinancings." Over the ensuing years Probes Reported noted further investigative activity, and in August of 2025 with its Q2 2025 10-Q filing, CVNA disclosed it had received SEC subpoenas related "primarily to issues raised in the [Hindenburg] report." We believe one of the key issues at play could relate to Cerberus purchasing CVNA loans when Dan Quayle served as a control person at Cerberus and on the Board of CVNA. A determination by the SEC that the transaction should have been treated as related party could have significant ramifications for Carvana's financials, potentially negating / disallowing GOS treatment for these loans in FY24 and FY25 and requiring a restatement. We believe the SEC could also be looking into disclosures concerning Guggenheim's purchases of CVNA subprime loans, with Mark Walter long owning a significant stake in the company via CVAN, as Spruce Point previously raised. Given the history of the Company and Garcia Jr. and the byzantine related party structure, we believe there is real risk of a Wells Notice here.

Separately, following the disastrous performance in 2022, The United Association National Pension Fund and Saskatchewan Healthcare Employees Pension Plan joined a Robins Geller-led securities class action lawsuit as lead plaintiffs alleging that CVNA insiders engineered a pump and dump scheme to help them dispose of nearly \$4bn in stock. The lawsuit raises many issues, some of which overlap with those raised by Hindenburg, including that CVNA knowingly allowed for title and registration violations to become widespread to sustain its rapid growth, that sham related party deals with DriveTime occurred (including wash sales of cars, an interesting point if these were tied to originated loans), shifty servicer practices and 100% approval for borrowers during the class period. The class action has wound its way through the courts and most recently the plaintiffs succeeded in getting access to site managers at CVNA sites and will be able to obtain these managers' communications in discovery to help substantiate the whistleblower allegations from 12 confidential witnesses.

Both the class action and SEC investigation have the potential to upset the related party ecosystem CVNA is enmeshed in, by potentially surfacing evidence of wash sales, above market DT purchases from CVNA, and / or Bridgcrest helping to conceal loan underperformance. Any of these issues could end in significant headache for CVNA and its shareholders given the Company's dependency on originating and selling loans in a highly regulated industry and to (in the case of Ally) publicly traded entities, and put Grant Thornton under the microscope headed into the 2025 Audit (it audits the entire complex of Garcia entities).

Somewhat tangentially, we would note that Carvana's longtime Audit Chair, Ira Platt, is himself a veteran ABS trader and also seemingly an occasional Twitter troll, often adopting vocal "anti-MAGA" positions and engaging in animated debate with opponents. At times he has entered the arena to "fight" CVNA bears on Twitter, and has even criticized a large CVNA shareholder's other shareholdings. Initially, we couldn't believe this was actually the audit chair of Carvana, but it seems that it is in fact very likely him. While we take no issue with Mr.

Platt holding or expressing these views, from the audit chair of a public company (which is different from the charismatic CEO, for example) we count this behavior as generally a red flag: https://x.com/compvir16/with_replies

7. Carvana's corporate structure and related party dealing pose known and unknown risks

There are the known unknowns of the CVNA corporate structure – are VSCs, CVNA – Drivetime wholesale transactions and Bridgecrest servicer rates truly done fairly and properly, for example? Then there are some of the unknown unknowns, like what the large related party shareholders of the Company could be doing outside the lines to help prop up the Company and what other incentives exist in their relationships with one another. Thanks to the work of Hindenburg and Spruce Point, we believe that Guggenheim and Cerberus entities have seen fit to funnel billions into buying CVNA paper, for example. Old CVNA ally Tom Dundon is buying the Portland Trail Blazers and it is rumored that the Garcias are part of his consortium:

Recently, we came across a related entity that just doesn't make much sense to us – [GoFi, a wholly owned subsidiary of Bridgecrest](#) that we understand is bankrolled by Garcia Jr.. GoFi has a fairly bare bones website and there is little mention of the Company online or in consumer reviews. Carvana does not disclose any relationship with GoFi. The platform was [launched in September of 2022](#), when CVNA was on the rocks, and states that it is an AI-based loan origination platform for dealers. We have heard accounts of GoFi doing business with unaffiliated dealers on at least a modest scale (with <100 publicly available loans / UCCs mapping to dealers), but it attracted our interest in part because the loan metrics attributable to GoFi in the 2025 BLAST ABS vintages are in the sweet spot of a CVNA subprime origination – around 570 FICO with 24% APR and \$22k ASP.

GoFi loans have grown from 0% of Bridgecrest securitizations to 8% for the past four issuances, run-rating at around \$200m annually this year for BLAST 2025 1-4. The full scale of the business is not clear to us. However, it strikes us as quite odd that Garcia Jr. is backing an AI loan origination platform that potentially competes for the same customer as Carvana, and that the viewable footprint of information on the Company is so sparse. It would seem hard to believe that GoFi could be an undisclosed buyer or partner to Carvana loan purchases but given the pattern to date and lack of visibility into where the meat of GoFi originations come from we can't rule it out definitively. We believe evidence of GoFi / Carvana loan transactions coming to light would be potentially problematic for the Company as further evidence of related party dealing, adding to the laundry list of regulatory exposure points:

Deal	Date	Deal Size	GoFi%	GoFi \$
BLAST 2025-1		850	8%	\$67.15
BLAST 2025-2		550	8%	\$43.18
BLAST 2025-3		700	8%	\$55.30
BLAST 2025-4		600	8%	\$47.70
				\$53.33

S&P Inclusion - Timing is Right

Having wrapped up our fundamental short case, we can address S&P inclusion. CVNA was selected to join the S&P 500 on December 22nd, and investors are clearly stoked as evidenced by a 50% rally in shares since November 24th. About 15 days of volume will be bought and CVNA traded about 7 days of excess volume last week. The stock was down 14% on the Q3 earnings report due to weaker than expected EBITDA and EBITDA guidance, and traded with around a \$320 vwap until 11/24 despite the glowing IRC sell side recaps from weeks earlier. Is the stock really worth 50% more due to S&P inclusion?

Going forward, we think the added liquidity brought about from S&P inclusion, combined with potential downward rebalance pressure as the short case plays out creates a much better setup for shorts. This turned out to be the case with our last S&P short inclusion TTD, which was added to the S&P at \$80 in July and trades at \$37 today:

	est. rebal volume
SPX	41000000
CVNA ADV	2750000
Days volume	14.91
since announce	35,000,000.00
trading days	5
normal ADV	13,750,000.00
excess volume	21,250,000.00
remain to buy	19,750,000.00
trading days	7.181818182

Fair Value

Given the abundance of regulatory and competitive risks facing Carvana and the likelihood of normalization in GOS spreads from private purchasers, we see significant downside to shares and foresee 2026 EBITDA guidance as disappointing the Street. Illustratively, if GOS compresses back to 2022 / early 23 levels of 6%, EBITDA could miss consensus by a wide margin even if units grow at Street. However, due to competitive headwinds, we see continued outperformance as being unlikely past Q126. In such a scenario, at 15x 2026 EBITDA, a multiple in-line with Wayfair (an eCommerce business with more customer frequency but similar cyclical peaks and troughs of earnings), CVNA would trade at \$160 / share using \$2.45bn of EBITDA. Downside scenarios involving regulatory enforcement or other accounting issues, or significantly worse financial performance as a result of faster GOS compression, faster CAC escalation, or other inputs, could yield a share price of \$100 or below:

	Q425	FY25	FY26
Prime ABS GoS (Public)	\$ 68.21	\$ 300.86	
GoS Margin	7.30%	10%	6.50%
ABS GoS	\$ 68.21	\$ 336.94	\$ 309.2806
MPSA + Fixed Pool GoS	188.29	\$ 797.55	\$ 703.53
MPSA Sale	1313	\$ 4,512.87	\$ 6117.638
Fixed Pool Sales	1313	\$ 4,448.58	\$ 6117.638
MPSA GoS	57	\$ 249.00	\$ 275.2937
Fixed Pool GoS	\$ 131.29	\$ 548.55	\$ 428.2346
YoY Growth in Fixed Pool GoS / EBITDA		\$ 47.76	\$ 423.03 \$(120.32)

Assumed Ally MPSA Margin	5%	6%	5%
Implied Fixed Pool GoS	10%	12%	7%
Total Originations	3560	12461	16993
% ABS	26%	28%	28%
% MPSA	37%	36%	36%
% Fixed Pool	37%	36%	36%
Blended GOS Margin		9%	6.0%
Total GOS	256.49	1,134.49	1,012.81
Street	287.49	1,165.49	1,512.81
downside vs. consensus	-31.00	-31.00	-500.00
Consensus EBITDA	529	2,250.00	2940
Thor EBITDA	498.00	2,219.00	2,440.00
PT at 15x			\$159.24

On the upside, if CVNA achieves its medium term guidance, we believe prospective IRR from these levels remains containable, with an IRR ranging from mid-single digits to 15% assuming 15x EBITDA terminal multiple.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Catalysts

Q4 earnings and 2026 guidance

Potential SEC Wells Notice

Class Action Discovery Yields Major New Evidence and DOJ Involvement

Deterioration in Subprime Auto Loan Markets

Increased Newsflow re: Amazon Autos

Pullback in purchases from Ally or private pool buyers

The parallel Robbins Geller class action and SEC investigation / subpoena process could result in hard evidence coming to light to substantiate some of Hindenburg's and the class action whistleblowers' claims. RG is a top-notch class action firm and they have gotten this case pretty far down the road and are getting discovery from mid-levels that might not have covered the paper trail as well as the senior management team. The SEC has been looking at CVNA for a long time and seems to be driving forward. Both these cases / investigations should come to a head sometime in 2026. The fact that Greg Sullivan and Ira Platt on the AC go back with Ernie Garcia Jr. to the early days of DriveTime post Ugly Duckling in the 1990s, and that the whole complex of Bridgcrest / Drivetime / Carvana / Silverrock / GoFi is audited by Grant Thornton makes it a tough nut to crack.

Best guess is the SEC will try to get at all the transaction records, bank records, loan records, etc. and dig into the customer level loan and VIN data to see if the allegations from company whistleblowers and shorts have meat. The fact that CVNA doesn't have Deloitte audit VINs as part of the AUPs strikes us as significant.

In the meantime, whether these allegations are founded or not, the short should work as the street grapples with GoS reset implications for 2026 EBITDA. Consensus seems to be modeling steady GoS economics at 9% in 2026 despite CVNA's public ABS printing 7.3% in Q4. We estimate private pool GoS ramped to 27% of EBITDA in Q325 from 6% in Q324 and 0% in Q124, putting up big numbers as CVNA insiders sold, the company sold equity in an ATM and now got into the S&P.....

Subject
Entry
Member

Re: "Wake Up, Babe"
12/16/2025 05:45 AM
anomalo



Subject
Entry
Member
Hi Thor,

Re: Re: Re: Re: Re: Re: Storytelling masquerading as analysis
12/16/2025 08:40 AM
yxd0950

I'm long but flexible to change my position based on evidence.

To me the most damaging allegation is the yield on these private loans. I agree with captain here that building the whole case on an "assumption" without fully supporting it looks very weak to me. But maybe I'm just ignorant on these important details so can you please tell me:

How do you know :1). Ally only takes prime and near-prime loans from CVNA? Because Ally, based on its own 10-Q, has originated/purchased 18% of sub-prime and 12% of deep sub-prime.

2). How do you know that Ally only takes 6%? Do you have anything tangible to back it up?

3). Do you have evidence that these private funds are given Carvana the alleged juicy yields?

4). If you have the evidence, why would these sophisticated funds underwrite deals so favorable to CNVA? You seem to suggest CVNA got such deals from people who sit on the board. Do you have any evidence that these are not arm's-length transactions?

5). Can you please explain your loan origination and yield/profit table? I cant follow it. CVNA has originated 9.5B loans at the end of Q3 25. The loans on its book have increased by about 100m. So it sold net 9.4B worth of loans. Can you tell me the yield, profit, and origination size from different channels?

Thanks.

Subject
Entry
Member

Re: Re: Re: Re: Re: Re: Storytelling masquerading as analysis
12/16/2025 09:45 AM
Thor25

WA APR (%)	20.92	18.05	18.82	18.60	19.19
WA LTV ratio (%)	100.77	100.33	100.94	101.10	98.97
WA down payment (%)	7.66	7.08	6.99	7.04	11.73
WA original term (mos.)	72.23	71.56	71.62	71.35	71.27
WA remaining term (mos.)	69.05	70.44	69.93	70.32	70.25
WA seasoning (mos.)	3.18	1.11	1.69	1.03	1.02
Loans with original terms of 61-72 months (%)	75.58	92.43	91.45	97.19	97.11
Loans with original terms of 73-75 months (%)	23.39	6.96	7.94	2.17	2.02
Loans with original terms of 76-78 months (%)	0.20	N/A	N/A	N/A	N/A
WA deal score	26.18	26.09	26.55	25.51	24.70
Non-zero WA original FICO score	578	584	578	579	569
Loans with no FICO score (%)	3.21	4.03	4.77	5.11	5.90

Also, just to be helpful, here is to illustrate our point on the excess spread compression from Q1 - Q4 in public ABS for CVNA. You can see that GoS dipped in Q2 as expected, but rebounded in Q3 sequentially despite lower excess spread and lower WAL on public ABS sequentially (neg for GOS).

CVNA Public ABS	Q125	Q225	Q325	Q425
APR	14.1%	12.8%	12.1%	11.2%
CPN	4.8%	4.9%	4.3%	4.1%
Est. Fees	1.0%	1.0%	1.0%	1.0%
Excess Spread	8.3%	6.9%	6.8%	6.1%
Aggregate GoS Margin %	10.1%	8.5%	9.0%	

You can imagine how much worse headlines and the stock reaction might have been if GoS had compressed again in Q3. If EBITDA had been \$600m vs \$630m do they still make it into the S&P?

Carvana Co. (CVNA, Buy, \$450 PT): Results and Guidance Didn't Meet High Expectations, But They Still Underscore the Power and Superiority of the Model; Maintain BUY

Subject	Shorting a secular winning
Entry	12/16/2025 03:00 PM
Member	johny88

I always wonder how people can short (what seems in my perspective like) a secular winner.

(I'm long only a bit and have sold most of my position).

I see a scenario, where the bear arguments (reduced g.o.s, more competition...) are correct in the next few quarters, but in the long run CVNA will still get 10%/20%... market share.

Genuinely curious how as a short you act if eg the next Qs come in as expected, but the share price doesn't decline - bc eg they promise they sky and then in the medium-term they grew into the currently high valuation.

Are you A) so convicted that CVNA is no secular winner and just keep pressing the short? Or are you B) so convicted that the share price moves down in the coming Qs if your thesis is correct, that the long-term winning doesn't matter anymore? Or C) sth else?

If any short could help me understand their (expected) path-dependent actions going forward, I would be very interested!

thanks!!

Subject	Re: Shorting a secular winning
Entry	12/16/2025 04:32 PM
Member	Thor25

Not to be flip, but how would this comment have aged in 2020 or 2021?

Subject	Re: Re: Re: Re: Re: Re: Re: Re: Re: Storytelling masquerading as analysis
Entry	12/16/2025 05:08 PM
Member	roark304

That is fair. The 6% I believe pencils quite well when tested with our ABS math over the past 7 quarters, but implied MPSA has absolutely been lumpy in the past to both the upside and the downside. Would you agree that the ABS GoS % has likely been trending down sharply from Q125 - Q4 25 and thus, the ABS GoS on private + Ally likely spiked in Q325?

CVNA Public ABS	Q125	Q225	Q325	Q425
APR	14.1%	12.8%	12.1%	11.2%
CPN	4.8%	4.9%	4.3%	4.1%
Fees	1.0%	1.0%	1.0%	1.0%
Excess Spread	8.3%	6.9%	6.8%	6.1%
Aggregate GoS Margin %	10.1%	8.5%	9.0%	
Public ABS GoS	13%	10%	8%	
Q/Q step up		-4%	-1%	
Delta from Q125			-5%	
Private / MPSA	10%	9%	11%	
Q/Q step up		-1%	2%	
Delta from Q125			1%	

No opinion either way here, but interesting debate. I'm assuming your Ally math is roughly right because your methodology seems fair, and that the GOS in the other channels is very high. It's not immediately obvious to me why Cerberus would subsidize Carvana. I get the overlapping board member, but wouldn't it take more than that to perpetrate a fraud that size, and how does it even benefit that board member? Is it possible that Cerberus is just buying racier credits with wider spreads? Maybe I missed something and I could easily be lost in the weeds. Big picture the GOS margins certainly seem egregious.

Thanks Miser. It's an interesting and fair question. I think the most likely explanation is that Cerberus was overpaying in the short-term, with tacit agreement that they would get a "real deal" in place to formalize the relationship and start buying these loans at more of a discount (with resultant compression of CVNA's GoS) when the timing was right. We've now seen a formalized deal for \$4bn put into place. I think Dan Quayle was probably happy to see his buddies at CVNA helped, not really out of financial motivation but more being a team player. The money on the line is much more significant for the Garcias than for Quayle, who as I understand it is just a powerful rich neighbor of the Garcias and not a longstanding Ugly Duckling / S&L colleague of Ernie Garcia Jr (which Ira Platt and Greg Sullivan are). However, I do believe CVNA erred in not disclosing Cerberus as purchaser of the loans, and believe that could come back to bite them if the SEC so determines as well. Quayle even sold stock personally in Q224, the first quarter that Towd Point started buying (to the tune of \$400m).

But to your point, we think the GoS from PPs is crazy and has to normalize. This quarter was really the most egregious by far with our estimated 16% being 800bps above calculated public ABS GoS, which is just nuts. And it was a really important quarter for CVNA, being their S&P 500 audition. If we are right and CVNA overearned by \$66m or so (if PP should have been 10%), then we are talking a quarter that would have been an epic miss vs. just a modest disappointment, and a stock probably trading in the mid \$200s and no SPX inclusion.

www.valueinvestorsclub.com

Thor,

thank you for writing out the details. It's very helpful to me. I also ran some calculations based on the 10-Q and the public ABS data you provided and can confirm your combined MSPA/Private GOS margin calc is correct.

So it does beg the question you raised why is private GOS margin going the opposite direction of the public ABS?

Correct me if i'm wrong: it sounds to me you are assuming CVNA only sells prime loans to Ally and this 6% is anchored on some prime loan numbers. Then you use this 6% to calculate MSPA GOS and calculate the fixed pool GOS margin. But I'm still not sure why you so confidently stick 6% GOS margin on the Ally loans despite the fact you said you don't have access to either Ally's master agreement or the fixed pool agreements. Again my original first question among the five is: how do you know Ally only buys prime loans from CVNA without access to the master agreement?

Ally, on its 10-Q, clearly hold a big portion of subprime and deep subprime.

On Ally's 2025 Q3 10-Q page 87 "The following tables present the percentage of retail loan and operating lease originations and purchases, in dollars, by FICO® Score and product type. We define prime consumer automotive loans primarily as those loans with a FICO® Score at origination of 620 or greater.

Used Car

620-659.	18%
540-619	10%

"

So why would Ally signs an agreement with CVNA to only cover prime while the bank clearly has a big portion of subprime loans on its book? And Carvana is probably not the best place to get prime only loans. roark also mentioned there were quarters where the entire GOS was from Ally. If we follow your logic, that would mean CVNA only sold prime loans in those quarters, which sounds unrealistic to me.

Then, on the assumption that you apply a broad 6% across the 3 quarters: even Ally's own yields shift around based on quarters so why would these MSPA loans that serve as cost to Ally remain stable?

Finally, have you thought about and ruled out other reasons that can explain this? like maybe pricing adjustment lag from the downward fed funds rate movement or what about the mix of prime/non-prime loans in the private pool+MSPA? The pricing lag sounds feasible to me because management already said finance GPU coming down in Q4 compared to Q3.

Subject	Re: Re: Shorting a secular winning
Entry	12/17/2025 02:35 AM
Member	CaptainAyub

Back then CVNA did not have proven unit economics and there was competition.

Subject	Real Numbers
Entry	12/17/2025 03:33 AM
Member	CaptainAyub

Once again, shoddy analysis from Thor has unfortunately forced me to prove him wrong publicly - I really hope he closes his short now for his sake.

Side note - Thor, did you ever take a class in formatting?

As you can see, while they are likely monetizing fixed pool sales at a higher rate, I see no reason why this won't continue...Thor25 is living in a world of fantasy.

<i>\$ in mm, except per unit data</i>	Q124	Q224	Q324	Q424	Q125	Q225	Q325
Retail Units Sold	91,878	101,440	108,651	114,379	133,898	143,280	155,941
Total Originations	1,846	2,042	2,163	2,278	2,660	3,086	3,434
Balances Sold							
Ally	904	467	716	886	782	1,166	1,249
Hedge Funds / Other Partners	-	420	420	660	800	1,170	1,149
ABS							
Prime	394	507	639	625	603	650	1,012
Non-prime	445	700	540	-	300	-	-
Total Principal balance sold, net	1,743	2,094	2,314	2,171	2,485	2,986	3,410
Finance GPU (reported)	1,800	1,950	2,200	2,000	2,125	2,025	2,200
Gain on loan sale GPU (reported)	1,567	1,705	2,062	1,871	2,039	1,912	2,123
Total Finance Profit (reported)	165	198	239	229	285	290	343
Gain on loan sales (reported)	144	173	224	214	273	274	331
Securitization total profit (prime + non-prime)	67	92	110	64	93	64	98
Implied forward flow profit	77	81	114	150	180	210	233
Margin on Securitization (prime)	9.8%	9.9%	11.6%	10.3%	12.3%	9.8%	9.7%
Margin on Securitization (non-prime)	6.5%	6.0%	6.6%		6.3%		
Margin on ABS total	8.0%	7.6%	9.3%	10.3%	10.3%	9.8%	9.7%
Margin on forward flow/fixed pool sales	8.5%	9.1%	10.1%	9.7%	11.4%	9.0%	9.7%
Breaking this up:	<i>(Known/no HF sales)</i>						
Ally	8.5%	8.1%	9.7%	8.8%	10.8%	8.3%	8.2%
Premium to total ABS	0.4%	0.4%	0.4%				
Premium to Prime ABS	-1.3%	-1.9%	-1.9%	-1.5%	-1.5%	-1.5%	-1.5%
Hedge Funds / Fixed Pool Sales - Implied Gain on Sale	NA	10.3%	10.6%	10.9%	12.0%	9.8%	11.3%

Subject Re: Real Numbers
Entry 12/17/2025 07:51 AM
Member yxd0950
Captain,

great formatting indeed. Very easy to see everything.

Can you please help me understand how you got Ally's MSPA's loan margin? Where are the premium to Prime ABS discount numbers from? Thanks!

Subject Re: Real Numbers
Entry 12/17/2025 12:34 PM
Member Thor25

Your formatting is impeccable Ayub, but as of a couple days ago you didn't apparently realize that Ally MPSA sales were disclosed in the 10-Q, so I'll keep working off my own model thanks. Also, did you ever take a class in reading comprehension or etiquette?

Subject Re: Real Numbers
Entry 12/17/2025 12:56 PM
Member CaptainAyub

Nah, as of a couple of days ago and as of today I still know more about this stock than you.

Your model is wrong, and quite frankly I'm tired of arguing with someone who is desperately trying to save their short before their PM fires them. Good luck, I'm done here.

Subject Re: Real Numbers
Entry 12/17/2025 03:46 PM
Member roark304

Can you please help me understand how you got Ally's MSPA's loan margin? Where are the premium to Prime ABS discount numbers from? Thanks!

it's an unfortunate but ancient truth of asset backed epistemology that sometimes the guy with the manners of a 12-year old mic dropping an opaque analyst exhibit he quite likely does not understand is closest to the truth.

it's not too hard to duplicate the work implicit in that table if you're willing to lay waste to an hour and a half because people are arguing on VIC. and yeah, it looks about right to me. the basic idea is first to isolate ABS GOS by just looking at the actual ABS documents to get at the actual GOS in particular quarters. So take Q325, for example, where the only CRVNA abs was the 2025-P3. Using the old school method, you can look at the "receivables purchase price" on page A-27 of the RPA and see it is \$1,119,726,187.03. subtract the initial pool balance of \$1,011,676,949.27. the difference is ~\$108mm. Subtract \$8mm of reserve funding and a few million for expenses. So you get about \$90-\$100mm in GOS for the ABS (posted says \$98mm). So you get a good estimate \$98/\$1012 or ~9.7% GOS for that issue. The rest imputes to fixed flow. Now you still can't know the ALLY/Fixed split and the table seems to simply assume that ALLY runs at a 150 bp discount to the prime ABS vig, probably based on averages from previous quarters where ALLY and ABS but no fixed pools were utilized. That's far from definitive, but almost certainly better than just sticking a 6% on ALLY and calling it a day.

Subject Re: Re: Real Numbers
Entry 12/17/2025 07:21 PM
Member Thor25

Thanks Roark, very helpful post. I admit I did not realize the RPP was publicly available on Edgar. It looks like during 2024 and Q125, my model (which has discount rate static at 12.5% prime) overestimated GoS margin by around 200bps each quarter, as CVNA was likely using a higher discount rate. In Q225 it was basically in-line with the RPP calc showing convergence on discount rate (CVNA discounting less conservatively). In Q3 I estimated WAL step down, and CVNA did not make that assumption so ended up largely stable on Prime GoS vs. my imputed 100bps decline.

For Q4 my previous Prime ABS calc was 7.3% and the RPP based calc is ~7.6% (using 1% for combined reserve and fees), so pretty close.

I still believe logic dictates Ally is discounted vs. the ABS deals and with volume commitments stepping up doubt this would change. So if Ally monetizes at 150bps lower than prime ABS pools, that would imply ~6% in Q4 for ALLY (vs. 7.6% for prime ABS). If you flow those forward, private pools need to be ~13% in 2026 for CVNA to hit the Street Other GoS estimate.

Subject Re: Re: Real Numbers
Entry 12/17/2025 07:29 PM
Member yxd0950

roark,

thank you for the explanation.

and this is hilarious - "

it's an unfortunate but ancient truth of asset backed epistemology that sometimes the guy with the manners of a 12-year old mic dropping an opaque analyst exhibit he quite likely does not understand is closest to the truth."

Subject Entertaining read re: modeling ABS and double pledging
Entry 12/17/2025 11:14 PM
Member Thor25

Thor25's issues with his PM over the CVNA short position pale in comparison to this guy...

Tricolor's Excel Guy Failed to Fix All Numbers in Alleged Fraud
 2025-12-18 01:41:01 GMT

By Isabella Farr and Scott Carpenter
 (Bloomberg) -- It was, according to Daniel Chu, "the stupidest f---ing thing [he had] ever heard."

That's how the Tricolor Holdings founder, in a secretly recorded August phone call, described the blunder that ultimately exposed what authorities allege was a more than \$1 billion fraud.

Ameryn Seibold, one of Chu's top lieutenants, was tasked with manipulating the Excel data that the subprime auto lender regularly sent to its financiers, making thousands of delinquent car loans appear current. But in another column listing the loans' outstanding balances, Seibold failed to reduce the numbers, leaving a glaring mismatch, according to federal charges unsealed Wednesday.

[Read More: Tricolor Founder Chu Charged With Alleged Fraud, DOJ Says](#)

How could Seibold "be doing this and not thinking that the balance has to reduce," Chu said.

Seibold's explanation only underscored the extent of the mess. He said he had been carrying roughly 8,000 charged-off loans across multiple financing facilities for "a long time," and couldn't shrink them all at once without forcing the already deeply troubled company to book millions of dollars in repayments, according to the indictment. "I'm doing what I thought was what we needed," he said.

The discrepancy was ultimately flagged not by regulators or auditors, but by a junior analyst at Waterfall Asset Management, one of Tricolor's lenders, Bloomberg previously reported, setting off its spiral into bankruptcy just weeks later.

The 20-page indictment lays out a fraud vast in scope but shockingly crude in its execution, relying on little more than doctored spreadsheets and the hope that no one would look too closely. That the deception lasted as long as it did — prosecutors allege it began around 2018 — and fooled some of the US's biggest lenders has turned the collapse into one of the cautionary tales circulating on Wall Street lately.

"It's astonishing that this allegedly went on for years and only came to light because someone made a dumb mistake," said Avinand Jutagir, a portfolio manager at Curasset Capital Management. "People may not realize it, but tens of billions of dollars worth of bonds can rely on plain old Excel files."

Chu, reached via text, declined to comment. So did an attorney for Seibold, who pleaded guilty to fraud in a separate indictment. Waterfall and other Tricolor creditors, including JPMorgan Chase & Co., Barclays Plc and Fifth Third Bancorp also declined to comment.

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For More on Tricolor's Collapse:

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Tricolor's Frantic Final Days Began With a Call From JPMorgan

Tricolor's New Loan-Service Team Is Locked Out of the Building

Tricolor Creditors Race to Seize Collateral, Fearing Deep Losses

*T

From the moment Tricolor's lenders flagged the data discrepancies, the crisis set off a flurry of high-stakes calls among the company's top executives. Some were secretly recorded by one and sometimes multiple participants, capturing a mix of

panic, finger-pointing, and frantic strategizing as the scope of the problem came into focus.

By late August, Chu was plotting with other Tricolor executives, including David Goodgame and Jerome Kollar, on how to settle with JPMorgan, which had already pulled its lending facility, according to the charging document. During the call, Chu likened Tricolor's meltdown to Enron, the energy giant felled by accounting fraud. He even discussed the idea of pinning the blame on banks for allegedly ignoring red flags, a threat they hoped to wield as leverage.

"Enron has a nice ring to it, right?" Chu said. "Enron raises the blood pressure of lenders when they see that," he added.

Contacted Wednesday, Arnold Spencer, a lawyer for Goodgame, said that "this is a complex business model and a complex business organization. We look forward to explaining Mr. Goodgame's role in the business in court." An attorney for Kollar, who also pleaded guilty to fraud charges, declined to comment.

On another August call with Tricolor leadership, Chu recounted a conversation with a representative of the lender that originally discovered the discrepancies in Tricolor's data, according to the charges.

"Look, if we were trying to commit fraud, we wouldn't be so stupid as to keep the same balances on there... Nobody would be that stupid," Chu recounted, noting that the representative for the lender said "you're right."

The Tricolor executives "laughed in response," according to the indictment.

Other key allegations from the indictments:

- * It began in 2018: The DOJ found the earliest instance of alleged fraud about seven years ago. Tricolor was facing liquidity pressure, and Chu directed Kollar to pledge delinquent loans as good collateral in order to secure financing.
- * Pledging sold vehicles: Chu asked Kollar to keep sold vehicles as collateral for an inventory credit line in 2021, even though they were supposed to be removed once purchased.
- * "Can we work the > 60s": Chu texted this to Kollar in July 2022, asking whether Kollar could manipulate data for loans over 60 days past due to make them appear eligible as collateral, the DOJ alleges. Kollar and Seibold would then manually change the data fields in borrowing base reports, editing loans more than 60 days past due to appear current.
- * A crying emoji: Kollar and Seibold double-pledged the same loans as collateral to multiple lenders and securitizations, allegedly at the direction of Chu and Goodgame. In one instance in 2023, when Seibold texted that he was doing so, Goodgame responded with the crying emoji.
- * Bond investors: Seibold and Kollar engaged "in a scheme to make material misrepresentations to investors in Tricolor's asset-backed securities." They also agreed to participate in an effort to "misappropriate investor funds and collateral for Tricolor's own use."

--With assistance from Chris Dolmetsch.

To contact the reporters on this story:

Isabella Farr in Los Angeles at [Scott Carpenter in New York at To contact the editors responsible for this story:](#)

[Brian Chappatta at Boris Korby](#)

Subject	Re: Entertaining read re: modeling ABS and double pledging
Entry	12/17/2025 11:16 PM
Member	bowd57

Hi, Thor --

AI would have caught this.

Yours,

Bowd

Subject	Re: Re: Real Numbers
Entry	12/18/2025 01:37 AM
Member	CaptainAyub

@roark interesting you haven't posted an idea since 2005. Do you have some sort of preferential treatment from VIC? Thought it was even keel for everyone here...

Subject	Re: Real Numbers
Entry	12/18/2025 02:48 AM
Member	bowd57

Hi, CaptainAyub --

> Do you have some sort of preferential treatment from VIC?

VIC is rife with corruption and favoritism. Rock the boat and ... Petry's formidable and vengeful. But if you play along, you could wind up staying in the Blowjob Suite at Davos. Think it over.

Yours,

Bowd

Subject	Re: Re: Real Numbers
Entry	12/18/2025 08:26 AM
Member	roark304

@roark interesting you haven't posted an idea since 2005. Do you have some sort of preferential treatment from VIC? Thought it was even keel for everyone here...

imagine your benevolent friend gets bored of midori sours but still likes to come round the bar sometimes to hear the tipplers immolate trivia night. one inauspicious eve word gets out that a local legend is doing sloshed karaoke slamming out nvr 10-k safe harbors to a hootie and the blowfish backing track. the staff is quickly overwhelmed by demand and being benevolent your teetotaling bruh offers to help a bit at the door. you don't think much about it but twenty years hence you're looking to celebrate nailing your dissertation in applied civility and run across your old stomping ground. looks like the place is still hopping though oddly half the dudes in line are named claude. and who do you see checking retinas but your fucking saint of a friend who has that thousand yard stare achievable only by the sort of indentured bouncer with enough tenure to have seen everything and yet nothing at all. voluntary serfdom at the gates of hell without a single pecuniary or even identifiable personal benefit. preferential treatment.

Subject	Carmax
Entry	12/18/2025 11:24 AM
Member	Supernova

With Carvana's market cap at \$101B vs. only \$6B for Carmax, and Carvana at 89x '25e vs. Carmax trading below TBV, why wouldn't Carvana acquire Carmax here? It would give Carvana extremely dominant retail and wholesale operations and scale, regional refurbishment assets, and a big portfolio of loans and real estate, all at an attractive price. From a regulatory standpoint, it would seem like now would be the time to do it with a more lenient Trump DoJ/FTC (although hard to argue consumer harm in the first place given the market fragmentation).

Apologies if you already discussed this.

Subject	Re: Carmax
Entry	12/18/2025 03:21 PM
Member	Thor25

Not sure how the bulls would view that, but I would see it as a distraction and integration risk especially given what happened after CVNA bought Adesa. Customer messaging and defining the value proposition / go to market would probably be a challenge. Also I would think CVNA wants to stick with the originate and sell model rather than pivot to captive bank.

I see AMZN / KMX as making more sense, personally, though there are still a lot of good arguments against.

Subject Re: Re: Carmax
Entry 12/18/2025 03:49 PM
Member Thor25
 Although if hedge funds want to bid CVNA 110 - 116 for the Carmax bank loans too, could be great :-)

Subject Re: Re: Re: Real Numbers
Entry 12/18/2025 05:37 PM
Member Thor25
 Roark - Is that Shakespeare you're quoting? BTW, you should stop by more often and teach us other Edgar Easter Eggs.

To help put a bow on the GoS debate for now, curious if you agree with this general synopsis.

- 1) RPP-based GoS (aka real number vs. Thor's modeling) for Q4 Prime ABS is ~7.6%, which is pretty close to our original 7.3%
- 2) Ally MPSA should generally trade at some discount to that
- 3) Private pools could sell for a premium vs. Prime ABS, but it shouldn't be a massive one given \$4bn volume frame agreements imply some significant negotiating leverage and those funds could buy other subprime paper elsewhere
- 4) Q3 GoS was 9% blended

If you agree, I would say our argument that consensus is mismodeling GoS for 2026 at 9% is pretty solid. Maybe private pools get 9 or 10%, but the rest of the book will monetize substantially below and on a blended basis you are going to end up close to that Prime ABS of 7.6%. I could (and did) also make an argument that whole loan sales like these should actually price below ABS. Who needs these deals more, CVNA or the funds? CVNA can't grow at these rates without the financing to support it, so they should be willing to discount for volume to keep the flywheel running. Their N paper has performed pretty well but it's still a collection of 580 FICOs serviced by a related party in a market with all sorts of overhangs. The real question is who is their "excel guy?"

Subject Re: Re: Re: Real Numbers
Entry 12/18/2025 07:14 PM
Member yxd0950

Some fintechs, for example Affirm and Klarna, have consistently outperformed its traditional peers' underwriting that is mostly based on just the FICO score.

I have reasons to believe CVNA has similar strength in underwriting giving they are the earliest used car online platform and should have all the data.

Subject Re: Re: Re: Real Numbers
Entry 12/18/2025 07:18 PM
Member Thor25

That is true. However with CVNA it seems more likely any better performance would be a matter of the buy online customer demo performing better, given the minimal qualifications needed (\$10k income and being over 18), buying keywords for bad credit car loan (they used to buy bankruptcy too but do seem to have discontinued) and reportedly posting 100% approval rates several years ago. They have near total share of buy online home delivery at present. They are the market, ergo they perform as the market performs, if that makes sense.

Subject Discovery ruling
Entry 01/19/2026 08:44 PM
Member Thor25

IT IS FURTHER ORDERED that Defendants shall produce any responsive non-privileged communication from Garcia Jr. concerning any interest in or benefit from Garcia Sr.'s sales of Carvana Securities on or before **JANUARY 23, 2026**.

IT IS FURTHER ORDERED that Defendants shall produce, **FOR ATTORNEYS' EYES ONLY**, non-privileged trust documents from Garcia Sr.'s trusts on or before **JANUARY 23, 2026**. Defendants may redact sensitive personal information from the produced trust documents. If any objections are received as to any redactions, the Court may, on an *ad hoc* basis, conduct an in-camera review of the objected-to redactions.

IT IS FURTHER ORDERED that Defendants shall produce responsive non-privileged documents provided to the SEC in response to the 2025 SEC Subpoena. Defendants are not required to produce the search terms used in connection to the aforementioned subpoena. Defendants shall produce these documents on or before **JANUARY 23, 2026**.

Could be NBD (if there's nothing to see here) but could be important. No more delaying and Robbins Geller will get the same files the SEC got, along with the Trust Docs and EGII / EGIII communications.

Subject	Re: Discovery ruling
Entry	01/20/2026 11:55 AM
Member	CaptainAyub
Non-event.	

Where do you stand for 2026 EBITDA, out of curiosity, as of today?

Subject	Re: Re: Discovery ruling
Entry	01/20/2026 01:23 PM
Member	Thor25

It could be a non-event, but if there is anything problematic in this production for CVNA it could also accelerate regulatory pressures (SEC will feel greater urgency to act).

I am below you Ayub on '26 EBITDA (in fact I think they will walk down the number). Where are you for '26 and for Q4 '25?

Subject	Re: Re: Re: Discovery ruling
Entry	01/20/2026 01:31 PM
Member	CaptainAyub

? I've relayed where I am to you before, but you have never given me a number!

Subject	Re: Re: Re: Re: Discovery ruling
Entry	01/20/2026 01:41 PM
Member	Thor25

<\$2.9bn for '26. They can probably edge street for Q4.

Subject	Re: Re: Re: Re: Re: Discovery ruling
Entry	01/20/2026 06:06 PM
Member	CaptainAyub

They'll do \$2.3bn in 2025.

Assuming they hit 40% growth, that will equal roughly 240k additional units.

Let's use simple math, <\$2.9bn, implies <\$600mm incremental, but let's say \$600mm.

That's \$2.5k EBITDA per incremental unit?

GPU is \$7.3k, even if they lose \$300-500 in finance GPU, they've demonstrated they are gaining in Retail GPU, so will gain some back there. Let's argue it sits at \$7k.

You're assuming Sg&a per incremental unit is \$4.5k? That's a massive jump from the average \$3.4k Sg&a per unit they are currently doing. What drives this?

Subject	Re: Re: Re: Re: Re: Re: Discovery ruling
Entry	01/20/2026 10:05 PM

Member

Thor25

I think used GPU will be down YoY independent of finance. Believe finance GPU will also be down and while ads will delever vs. units, I don't have SG&A per unit growing much. I'm also modeling more like street units than your 40% (30%).

Subject Re: Re: Re: Re: Re: Re: Re: Re: Discovery ruling
Entry 01/21/2026 05:24 AM
Member CaptainAyub

So ultimately you're betting against Ernie, in his execution of 40% annual growth.

Good luck with that. Having met him several times, I would bet on him 10 times out of 10.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Discovery ruling
Entry 01/21/2026 02:52 PM
Member Thor25

Thanks Ayub, I've been wrong many times and lived to tell the tale. Ernie is definitely a charismatic leader, but betting on him in 2021 - 2022 almost ended with a donut, so while I might be wrong I don't think I'm crazy. BTW, if your new year's resolution was being more civil to Thor25 on VIC, you're off to a commendable start. Let's keep it going and circle up here on the 19th when earnings are out.

Subject JPM
Entry 01/28/2026 09:27 AM
Member Thor25

Ayub, I remember you said you liked the JPM analyst. I'm sure speaking live he sounds better, but the below kinda looks like sell-side speak for take profits no?

By Jordan Fitzgerald
 (Bloomberg) -- Carvana shares edge higher by 0.6% in premarket trading Wednesday as JPMorgan analyst Rajat Gupta increased the price target on the online used-car seller to \$510 from \$490.
 * "We expect a solid beat and raise in 4Q25," wrote Gupta, "though we reduce our estimates slightly to reflect modestly lower GoS based on Nov 2025 prime deal pricing, and slightly higher SG&A to factor in new vehicle franchise acquisitions and preparation for a potentially robust tax season."
 * Gupta also boosted the firm's 2027 Ebitda estimate to \$4.7 billion from about \$4.5 billion
 * Given the strong and consistent pace of growth in recent quarters, JPMorgan said it would not be surprised to see capex inflect in 2026
 * The firm forecast strong growth rates continuing in 2026, though the analyst said that Carvana's valuation will likely remain a topic of debate this year
 * Carvana shares are up 13.2% in 2026 so far, with CarMax shares higher by 19.9% over the same period
 * NOTE: Jan. 8, Carvana Robotaxi Effect Makes Morgan Stanley an Even Bigger Bull

Subject Re: JPM
Entry 01/28/2026 11:12 AM
Member CaptainAyub

Don't think so, but it's sorta irrelevant. Watch out for the Gotham report later today, I'm sure there will be "smoking guns" in there.

Subject Re: Re: JPM
Entry 01/28/2026 11:31 AM
Member Thor25

Reading through it now....looks like they got the private GoFi Bridgecrest and DriveTime reports. I'll avoid jumping to conclusions for now but it's all threads we have been pulling on ourselves, and have been pretty transparent about.

Subject Re: Re: Re: JPM
Entry 01/28/2026 11:43 AM
Member lars

GoFi is \$14m in assets. I'll look for the explanation of why one can look at the operating portion of DriveTime's cash flow statement in isolation from the financing portion. Neat that they used the freedom of information act.

Subject Re: Re: Re: JPM
Entry 01/28/2026 11:44 AM
Member CaptainAyub

The DriveTime report from my first read doesn't tell you anything. 2023-24 were notoriously poor years for subprime credit as we have discussed on this and other thread before - and DriveTime is basically deep subprime, so not surprising. But I've only read through first 10-15 pages so we should connect later on this in case you have a different read.

Subject Re: Re: Re: Re: JPM
Entry 01/28/2026 11:56 AM
Member Thor25
 Why does GoFi exist? Really early going through but member contributions to fund a -100% margin business?

GoFi, LLC
Statements of Cash Flows

	Years Ended December 31,	
	2024	2023
Cash Flows from Operating Activities:		
Net loss	\$ (10,767,553)	\$ (10,413,711)
Adjustments to reconcile net loss to net cash used in operating activities:		
Purchase of finance receivables measured at fair value	(165,633,114)	(54,865,023)
Collections on finance receivable principal balances	992,227	341,182
Finance receivables principal sold ⁽¹⁾	167,553,902	49,390,076
Depreciation expense	901,424	414,531
Changes in assets and liabilities:		
Related party payables	758,036	(3,151,628)
Accounts payable and accrued expenses	4,878	2,584,239
Prepaid and other assets	102,894	(605,220)
Net cash used in operating activities	(6,087,306)	(16,305,554)
Cash Flows from Investing Activities:		
Purchases of property and equipment	(29,493)	(11,373)
Capitalization of internally developed software ⁽²⁾	(1,190,198)	(1,285,763)
Net cash used in investing activities	(1,219,691)	(1,297,136)
Cash Flows from Financing Activities:		
Member contribution	10,000,000	19,998,000
Member withdrawal	(164,046)	—
Net cash provided by financing activities	9,835,954	19,998,000
Net increase in cash and cash equivalents	2,528,957	2,395,310
Cash and cash equivalents, beginning of period	5,310,454	2,915,144
Cash and cash equivalents, end of period	<u>\$ 7,839,411</u>	<u>\$ 5,310,454</u>

(1) Includes \$167,553,902 and \$49,390,076 for the twelve months ended December 31, 2024 and 2023, respectively, associated with related parties.

(2) Includes \$(1,190,198) and \$(1,285,763) for the twelve months ended December 31, 2024 and 2023, respectively, associated with related parties.

Subject Re: Re: Re: Re: JPM
Entry 01/28/2026 12:03 PM
Member lars

You know those numbers are not in thousands or millions, right? Can you explain why one would look at the operating portion of DriveTime's cash flow statement in isolation of the financing portion? Do any of the line items in the operating portion look like financing transactions to you? Do you think it's relevant that when you combine the portions the numbers are positive? I genuinely appreciate your skepticism, Thor, and I share your appreciation that this thread has become more civil, but so far, I think this report is embarrassing.

	Year Ended December 31,		
	2024	2023	2022
Cash Flows from Operating Activities:			
Net income (loss)	\$ 40,824	\$ (69,327)	\$ 39,254
Adjustments to reconcile net income (loss) to net cash (used in) provided by operating activities:			
Realized gain on investments in marketable securities	(270)	(85)	—
Interest income on finance receivables measured at fair value	(506,420)	(411,274)	(325,156)
Mark to fair value on finance receivables	276,764	276,617	74,885
Depreciation and amortization expense	37,930	34,002	26,869
Amortization of deferred financing costs	10,674	10,733	9,848
(Gain) loss on disposal of property and equipment	(6,126)	(155)	213
Impairment of property and equipment	—	—	971
Impairment of internally developed software	2,834	—	—
Purchase of finance receivables ⁽¹⁾	(174,740)	(51,240)	(219)
Originations of finance receivables	(2,925,914)	(2,570,928)	(2,118,977)
Collections and recoveries on finance receivables	2,561,650	2,311,662	2,369,576
Changes in assets and liabilities:			
Vehicle inventory ⁽²⁾	(72,396)	52,225	8,799
Operating lease right-of-use assets ⁽³⁾	(3,504)	10,486	16,570
Deferred acquisition costs and other assets ⁽⁴⁾	(90,470)	18,460	(76,264)
Payables and other accrued expenses ⁽⁵⁾	148	59,240	62,480
Operating lease liabilities ⁽⁶⁾	1,359	(12,614)	(18,083)
Deferred revenue and refund reserves	140,028	17,812	24,633
Net cash (used in) provided by operating activities	(707,629)	(324,386)	95,399

	Years ended December 31,		
	2024	2023	2022
Cash Flows from Financing Activities:			
Proceeds from portfolio term financings	\$ 2,465,721	\$ 2,077,950	\$ 1,168,510
Repayment of portfolio term financings	(1,776,553)	(1,574,347)	(1,444,767)
Proceeds from portfolio warehouse facilities	2,560,500	2,101,000	1,251,000
Repayment of portfolio warehouse facilities	(2,449,500)	(2,087,500)	(862,000)
Proceeds from other debt facilities	60,965	—	—
Repayment of other debt facilities	(68,906)	(962)	(962)
Payment of debt issuance costs	(14,599)	(14,218)	(8,322)
Contributions from shareholders	200,000	150,000	150,000
Distributions to shareholders	(210,910)	(272,071)	(368,919)
Net cash provided by (used in) financing activities	766,718	379,852	(115,460)

Subject Entry Member Re: Re: Re: Re: Re: Re: JPM 01/28/2026 12:12 PM heffer504
no skin in the game but pretty sure the drivetime financials are in thousands, like, \$2,465,721 is \$2.465 billion...

Subject Entry Member Re: Re: Re: Re: Re: Re: JPM 01/28/2026 12:18 PM lars
Correct - sorry for the confusion - first sentence was re: GoFi. Rest of the comments were re: DriveTime.

Subject Entry Member Re: Re: Re: Re: Re: Re: JPM 01/28/2026 12:21 PM heffer504

got it. also agreed, looking at CFO in isolation here seems inappropriate (even as I am inclined to be skeptical here, no surprise!)

Subject
Entry
Member

Re: Re: Re: Re: Re: Re: Re: Re: Re: JPM
01/28/2026 01:31 PM
Thor25

GoFi doesn't make any sense looking at IS, CF or any other way you slice it IMO. Also, Gotham got VINS and mapped CVNA VINs showing up in BLAST.

Irrefutable loan-level evidence that Bridgecrest holds CVNA-related loans, why it matters

The table shows loans that appear in BridgeCrest ABS securitizations that are tied to CVNA¹:

Asset Number	BLAST Securitization: Year & Series	Origination date: Month & Year	Vehicle Manufacturer name	Vehicle Model	Vehicle Year	Vehicle Originator Name	Obligor Score	Latest Listed for sale	Lienholder	VIN Number
3351830	2024_1	09/2023	Honda	Pilot	2013	BAC	495	Carvana 2023-09-17	Bridgecrest	5FN9F4H500B052800
3405694	2024_1	11/2023	Ford	Edge	2017	BAC	558	Carvana 2023-11-27	Bridgecrest	2FMFK3K908H410206
3425144	2024_1	11/2023	Chevrolet	Equinox	2020	BAC	591	Carvana 2023-11-05	Bridgecrest	3GNAXUEV1L5513028
3378339	2024_1	10/2023	Chevrolet	Equinox	2018	BAC	537	Hertz Car Sales 2023-09-28, Carvana 2023-09-23	Bridgecrest	2GNAXHEV0G333057
3502408	2024_2	01/2024	BUICK	Encore	2019	GOFI	568	Carvana 2024-01-07	Bridgecrest	KL4C15B8K8880848
3569031	2024_3	03/2024	Hyundai	TUCSON	2019	BAC	N/A	Carvana 2024-02-24	Bridgecrest	KMBJ2CA43KU889854
3599816	2024_3	04/2024	Toyota	Camry	2017	BAC	477	Carvana 2024-04-13	Bridgecrest	4T1BF1FK3HJ722326
3600478	2024_3	04/2024	Chevrolet	Traverse	2021	BAC	568	Carvana 2024-04-11	Bridgecrest	1GNERGKWMU172919
3608972	2024_3	04/2024	Hyundai	SANTA FE Sport	2018	BAC	530	Carvana 2024-04-04	Bridgecrest	5XYZDLB1JG524658
3630320	2024_3	05/2024	Nissan	Rogue	2015	BAC	567	Carvana 2024-05-28	Bridgecrest	KNMAT2MT6FP525804
3698371	2024_3	06/2024	Jeep	Compass	2018	BAC	501	Carvana 2024-06-18	Bridgecrest	3C4NDP4J7K1234444
3721624	2024_4	07/2024	Mazda	CK-5	2018	BAC	530	Carvana 2024-07-07	Bridgecrest	JM3KF8CM0J0467431
3806217	2024_4	08/2024	Hyundai	ELANTRA	2018	BAC	670	Carvana 2024-08-15	Bridgecrest	5NP074U6H247581
3830854	2025_1	09/2024	Ford	Escape	2018	BAC	458	Carvana 2024-09-27	Bridgecrest	1FMCU0HD4UC47164
3838507	2025_1	09/2024	Toyota	Camry	2014	BAC	568	Carvana 2024-09-18	Bridgecrest	4T1BF1FK3EJ848066
3845495	2025_1	09/2024	Chevrolet	Traillazer	2023	BAC	665	Carvana 2024-09-14	Bridgecrest	KL79MPS25PB172085
3847293	2025_1	09/2024	Mitsubishi	Outlander	2018	BAC	600	Carvana 2024-08-29	Bridgecrest	JAAAD3A31J209662
3865084	2025_1	10/2024	Ford	Fiesta	2019	BAC	494	Carvana 2024-10-27	Bridgecrest	3FADP4EJ7KM129638
3877445	2025_1	10/2024	Chevrolet	Camaro	2015	BAC	441	Carvana 2024-10-16	Bridgecrest	2G1FB1E30F9106430
3887205	2025_1	10/2024	Ford	Edge	2022	BAC	498	Carvana 2024-10-17	Bridgecrest	2FMFK3K908H410206
3885323	2025_1	10/2024	Chevrolet	Equinox	2021	GOFI	448	Hertz Car Sales 2024-10-13, Carvana 2024-09-29	Bridgecrest	2GNAXHEV0G333057
3986182	2025_2	12/2024	Lincoln	Corsair	2021	BAC	575	Carvana 2024-12-10	Bridgecrest	5LMCJ1D96MUL18009
4018039	2025_2	01/2025	Nissan	Altima	2023	BAC	677	Carvana 2024-12-30	Bridgecrest	1N4BL4BV6PN341342
4076337	2025_2	02/2025	Nissan	Rogue	2021	BAC	609	Hertz Car Sales 2025-01-30, Carvana 2025-01-30	Bridgecrest	JN8AT3CA6MW023940
4084349	2025_2	03/2025	Chevrolet	Malibu	2023	BAC	599	Hertz Car Sales 2025-02-27, Carvana 2025-02-24	Bridgecrest	1G1ZD55T9PF140886
4100348	2025_2	03/2025	Hyundai	SANTA FE	2023	BAC	501	Hertz Car Sales 2025-03-16, Carvana 2025-03-08	Bridgecrest	5NMS2DAJXP629809
4130647	2025_2	03/2025	Hyundai	ELANTRA	2023	BAC	533	Carvana 2025-03-14	Bridgecrest	KMHLS4AGXPU473039
4209318	2025_3	05/2025	Dodge	Journey	2019	BAC	514	Carvana 2025-05-01	Bridgecrest	3C4PDCB82KT764327
4220502	2025_3	05/2025	Chevrolet	Malibu	2024	BAC	516	Hertz Car Sales 2025-05-16, Carvana 2025-05-15	Bridgecrest	1G1ZD55T9PF172060
4233066	2025_3	04/2025	Toyota	Camry	2016	GOFI	571	Carvana 2025-04-27	Bridgecrest	4T1BF1FK4G568031
4242617	2025_3	05/2025	Hyundai	SONATA	2017	BAC	488	Carvana 2025-05-05	Bridgecrest	5NPE24AF7HH572238
4250692	2025_3	05/2025	Hyundai	SONATA	2023	BAC	524	Carvana 2025-05-14, Hertz Car Sales 2025-05-14	Bridgecrest	KMHLS4AGXPU473039
4276579	2025_4	06/2025	Hyundai	SANTA FE	2023	BAC	566	Hertz Car Sales 2025-06-05, Carvana 2025-05-14	Bridgecrest	5NMS24AL4PH543024
4459562	2025_4	09/2025	Chevrolet	Malibu	2024	BAC	532	Hertz Car Sales 2025-10-01, Carvana 2025-09-17	Bridgecrest	1G1ZD55T9PF126366

GoFi, LLC Statements of Operations

	Years Ended December 31,	
	2024	2023
Revenue:		
Gain on sale of finance receivables ⁽¹⁾	\$ 7,185,702	\$ 1,876,468
Interest income	196,919	5,363
Total revenue	7,382,621	1,881,831
Costs and expenses:		
Operating expenses ⁽²⁾	16,961,139	11,557,776
Other expense	1,189,035	737,766
Total costs and expenses	18,150,174	12,295,542
Net loss	\$ (10,767,553)	\$ (10,413,711)

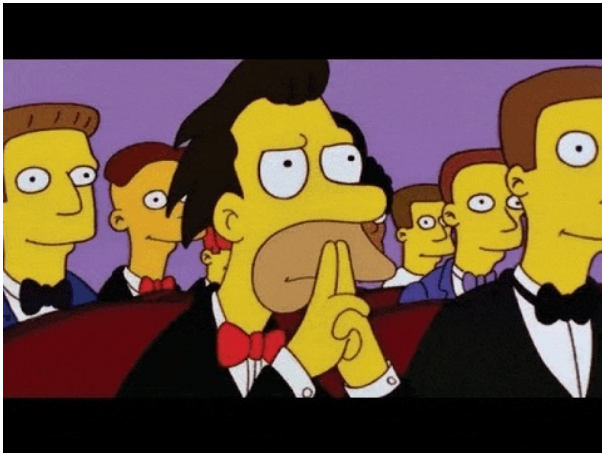
(1) Includes \$7,185,702 and \$1,876,468 for the twelve months ended December 31, 2024 and 2023, respectively, associated with related parties.

(2) Includes \$7,163,300 and \$4,291,518 for the twelve months ended December 31, 2024 and 2023, respectively, associated with related parties.

See accompanying notes to the financial statements.

Subject
Entry
Member
Is this it?

Ayub vs Thor final showdown?
01/28/2026 01:35 PM
StockOperator



Subject
Entry
Member

Re: Ayub vs Thor final showdown?
01/28/2026 01:37 PM
Thor25



Subject
Entry
Member
<https://gemini.google.com/share/59f521074e19>

Re: Ayub vs Thor final showdown?
 01/28/2026 02:09 PM
 Shooter McGavin

Subject
Entry
Member

Re: Re: Ayub vs Thor final showdown?
 01/28/2026 03:59 PM
 CaptainAyub

Hopefully this is THE final showdown, so that I can sleep peacefully here lol.

This is the crux of his argument and the math is wrong. His receivables amounts are wrong because they are based on "in-year" loans sold vs. total loans outstanding which is what a servicer would make fees on. Ally and ABS were both approx \$7.2-7.5 billion in loans each in that year and then his backed in amount would be much higher for implied servicing fee for Third Parties, in line with those of Ally and ABS.

Incorrect from Gotham:

We calculate the servicing fee rates with the information provided from the DEF14³:

Carvana: Servicing Agreements with DriveTime (DT)			
FY End December	2024		
DT servicing fee for...	DT servicing fee (\$mln)	Receivables amount (\$mln)	Implied servicing fee (%)
Carvana (CVNA)	6.4	612	1.046%
Third parties	10.4	8,888	0.117%
Ally Parties	87.1	3,000	2.903%
Purchaser trusts	84.5	3,800	2.224%
CVNA Credit facilities	3.7	0	n/a
Total	192.1	16,300	1.179%

Ally and Purchaser trust pay a higher rate than CVNA does. But what of Third parties?⁴

Actual math:

	DT Servicing Fee	Receivables Amount	Implied Servicing Fee	Notes
CVNA	6.4	612	1.05%	
3rd Parties / HF's	10.4	885	1.18%	
Ally	87.1	7,203	1.21%	From Ally 10-k: 8.6% of \$83.8 billion in consumer auto finance receivables
ABS	84.5	7,600	1.11%	From any bank ABS team
CVNA Credit Facilities	3.7	0	n/a	
Total	192	16,300	1.18%	

Subject
Entry
Member

Re: Re: Re: Ayub vs Thor final showdown?
01/28/2026 06:26 PM
Light62

I'm new to this, have no position, and interested only as an intellectual exercise.

This rebuttal seems compelling in addressing one of the two core mechanisms Gotham alleges are used to inflate CVNA's results: namely, that sub-market servicing fees from DriveTime/Bridgecrest allow CVNA to retain artificially high gain-on-sale margins. The data on implied servicing rates - especially when adjusting the denominator to reflect receivables outstanding rather than loans originated - appears to weaken that claim materially.

That said, the second pathway Gotham proposes - that DriveTime or related parties are buying loans above fair value and absorbing losses over time - hasn't been addressed and from what I can see it seems to fall flat too.

DriveTime's financials clearly show meaningful losses but I'm struggling to reconcile how those losses can be driving CVNA's profits in '24. Specifically, for CVNA to book a profit on a loan sale it must sell the loan in the period in which it is booking the profit, no? When DriveTime/Bridgecrest recognizes a loss is irrelevant to when CVNA books a profit. If so, the relevant account which CVNA's profits would have to flow through is DriveTime's "Purchase of finance receivables" but the problem is DriveTime/Bridgecrest only purchased \$174m of loans in '24 and \$51m in '23. Those numbers aren't nearly large enough to provide the sort of support to Carvana that Gotham argues DriveTime is providing. Obviously if these entities are engaging in straight accounting fraud it's a different matter (compensating CVNA through DriveTime's direct originations or otherwise pretending purchases from CVNA are DriveTime originations) but the crux of the argument is that the financials provide the necessary elements to prove support is being funneled to CVNA from related parties. I'm struggling to see it.

Subject Re: Re: Re: Re: Ayub vs Thor final showdown?
Entry 01/28/2026 06:34 PM
Member CaptainAyub

Let me simplify it for you: they don't sell loans to DriveTime. End of story.

Subject Re: Re: Re: Re: Re: Ayub vs Thor final showdown?
Entry 01/28/2026 06:49 PM
Member Light62

Ok, maybe, I'd be interested to know why you're so certain that's a fact.

Either way my interest is to see if the Gotham conclusions hold up using only the facts and disclosures they themselves rely on (that's what's likely to drive a rapid recovery in the stock, not a credibility battle). So far, my impression is they don't

Subject Re: Re: Re: Re: Re: Re: Ayub vs Thor final showdown?
Entry 01/28/2026 07:14 PM
Member CaptainAyub

Because Bridgecrest is the servicer, so they're collecting auto loan payments and disseminating to investors. They don't actually take ownership of the loan.

also company statement clarified this if you wanna hear it from an official voice and not me.

Subject 3P subpoenas went out right after Plaintiffs firm got the SEC discovery files on 1/23
Entry 01/28/2026 07:26 PM
Member Thor25

Pursuant to Local Rule of Civil Procedure 5.2 for the United States District Court District of Arizona, Lead Plaintiffs United Association National Pension Fund and Saskatchewan Healthcare Employees' Pension Plan ("Plaintiffs") hereby give notice that on January 27, 2026 attorneys for Plaintiffs caused to be served a NOTICE OF ISSUANCE OF SUBPOENA(S) TO NON-PARTIES, via electronic mail, on the respective counsel for all other parties to this action.

Further, Plaintiffs hereby give notice, that on January 27, 2026 attorneys for Plaintiffs caused to be served a SUBPOENA TO PRODUCE DOCUMENTS, INFORMATION, OR OBJECTS OR TO PERMIT INSPECTION OF PREMISES IN A CIVIL ACTION on the following non-parties:

- ABS National Auto Services, Inc. dba ABS Tag & Title;
- DealerTrack, Inc.;
- DLRdmv, LLC;
- Market St Auto Licensing, Inc.;
- ETD, Inc. dba Motor Car Tag and Title; and
- Vitu, Inc.

DATED: January 28, 2026

ROBBINS GELLER RUDMAN
& DOWD LLP

Look, I don't think the Gotham report was perfect (and Ayub, to his credit, called out one of the things they appear to have gotten wrong). Ayub and I can agree on that in addition to TTD being a "Shite-show." However, I also can't see how bulls could take comfort from the fact that DT's financials are awful, and CVNA even when viewed through the bull's prism is still highly dependent / interwoven with DT and Bridgecrest. As laid out here and elsewhere we suspected GoFi was some type of conduit, scheme or "bad bank / turndown financing" option for CVNA loans and that a fulsome accounting of VINS would show CVNA loans popping up in BLAST, which raises all sorts of questions and avenues for potential wrongdoing. We've also suggested longs are short an embedded Bridgecrest put, which is now starting to get priced in (but far from fully priced in our opinion at \$410). Got a bunch going on so not going to do a full debrief at this time, though I will be back by earnings to discuss further. To reflect, this stock went from \$350 to \$3 and to \$480. Earnings estimates / EBITDA for 2026 have had basically no net revision since July, so you've had a ton of multiple expansion despite new overhangs, SEC investigation and clear progression of the Robbins Geller suit with a sympathetic judge and alleged damages that could be in the tens of billions. JPM also cut earnings estimates for Q4 today and BARC also cut GoS estimates recently so our original "tentpole 1" of our thesis is intact and making its way into the Street forecasts. So I get how people can be miffed at Gotham for some of their claims, but ultimately this is a very negative unveil of incremental information at the worst possible time for the company going into the YE audit. Speaking of which, not sure how Ira Platt (if he was the X account we previously identified that has since been locked) has any credibility with the GT national office especially when he tweeted back in July that Drivetime was very profitable in its own right, which it clearly is not.

Subject Re: 3P subpoenas went out right after Plaintiffs firm got the SEC discovery files on 1/23
Entry 01/28/2026 07:53 PM
Member lars

Thor, the Robbins Geller lawsuit? You keep jumping to what you say is the next thread, and what I'd characterize as a straw. What about my questions about Drivetime's cash flow statement and how Gotham presents (I'd say cherry-picks from) it? Also, VINs aren't in the BLAST securitization documents. Aside from the fact that they think they found "dozens" of Carvana vehicles, and that that could represent a "smoking gun" for a company that sells thousands of vehicles a day, their matching methodology is wrong - those are Carvana VINs, and they are not vehicles sold in BLAST securitizations.

Subject Re: Re: 3P subpoenas went out right after Plaintiffs firm got the SEC discovery files on 1/23
Entry 01/28/2026 08:04 PM
Member CaptainAyub

Look at Carmax's CFO when it was growing. It had annual losses every year for 9/10 years between FY12 and FY22.

Financing businesses, when they grow, have negative CF from ops and raise debt to plug the gap.

Subject Re: Re: Re: Re: Re: Re: Ayub vs Thor final showdown?
Entry 01/28/2026 08:04 PM
Member Light62

If I'm hearing you correctly your first sentence is a tautology that, because Bridgecrest doesn't own loans, DriveTime/Bridgecrest don't buy loans from Carvana. But that's problematic because DriveTime's cash flow statement shows \$175m of "Purchase of finance receivables" in 2024 and \$51m in 2023 (which purchases according to the Related Party disclosure, were from GoFi). Clearly they "take ownership" of some 3rd party loans. Whether they're Carvana originated or not, I have no idea. If you can show that GoFi's loan purchases are not coming from Carvana that would seem to answer the question.

Regarding your second sentence, we're back to a credibility argument which you're free to have an opinion on. As I said before, I'm just trying to figure out if Gotham's claims stand up to scrutiny on the basis of the documents Gotham relies on. Again, my current impression is that those claims do not stand up to scrutiny but, for me at least, that doesn't mean Carvana should be taken at their word on everything.

Subject	Re: Re: 3P subpoenas went out right after Plaintiffs firm got the SEC discovery files on 1/23
Entry	01/28/2026 09:33 PM
Member	Thor25

Look I didn't write this report and am quite busy at the moment, so I don't have all the answers and definitely will take me time to fully digest everything. You're correct and what I meant to say was that Gotham has shown evidence of CVNA sales ending up in BLAST (whether via GoFi or DriveTime), which is different from CVNA loans in BLAST.

The RG filing was something I found in real time with a docket refresh and surfaced, just like when I wrote about the GoFi issues more than a month ago and the low quality of ABS Audits before that (no VIN audit, small sample) etc. I'm being pretty transparent and people can choose to like it, agree with it or not. I've also been clear that I could be wrong, but I believe the fact pattern is unfolding net favorable to my short thesis and not to the bull case since putting out our own work in Dec.

Subject	Re: Re: Re: Re: Re: Re: Re: Re: Ayub vs Thor final showdown?
Entry	01/29/2026 08:00 AM
Member	CaptainAyub

Just look at the 10-k my friend.

Subject	Re: Re: Re: Re: Re: Re: Re: Re: Ayub vs Thor final showdown?
Entry	02/04/2026 02:12 PM
Member	JackBlack

So much debate about credit and related party dealings here. Turns out, it was about the comps all along.

Subject	New Short Report
Entry	02/05/2026 04:55 AM
Member	Thor25

Because we haven't had enough CVNA short reports yet. Doubt people will be able to poke many holes in this author's analysis, they checked the boxes (admittedly Gotham did not, though still brought some important information to light).

<https://abeliananalysis.com/posts/carvana-short-thesis/>

Subject	Re: New Short Report
Entry	02/05/2026 09:10 AM
Member	lars

Thor, are you familiar with how auto loans are underwritten? How much does any of this differ from Carmax's underwriting / income verification process, for example? Have you looked at Carvana loan performance vs peers? Do you think there is information/signal in lending partners consistently re-signing / up-sizing?

On a different note, for anyone interested, great podcast with Dan Gill - <https://www.metisstrategy.com/interview/dan-gill/>

Subject	Re: New Short Report
Entry	02/05/2026 09:22 AM
Member	Light62

The core of the thesis here seems to be that the ABS is being marketed deceptively on the basis of an average FICO score. But they don't show that by pointing out that spreads on the various tranches haven't moved in line with risk within the ABS. Some questions they leave un-answered:

- 1) Is it conceivable that people (borrowers) are just lazy? They'll take a bad rate to avoid having to deal with a bank?
- 2) Implicit in the analysis is an argument that the buyers of the ABS aren't aware of what's going on. Are the ABS buyers getting the same spreads they were on the '21/'22 vintages? What have general auto-loan ABS spreads done over that time?
- 3) Related to the above, and also implicit, one of the key arguments is that Carvana is pulling a fast one (on the ABS buyers) by shifting the mix of FICO scores (and the LTV) in their ABS. The authors don't say it in these words but spill a lot of ink explaining that defaults and risk are not linearly correlated with FICO (that is that a pool of 75% 800 FICO and 25% 500 FICO borrowers - 725 average - is riskier than a pool of 100% 725 FICO borrowers). Is it conceivable that ABS buyers don't know this and are looking at the average FICO, putting their pencils down, and waving the ABS in?
- 4) I'm probably missing something but the default math they walk through doesn't make sense: "In a pool of 34,000 loans, 3% represents roughly 1,000 borrowers. If this cohort defaults at its historical rate of 40%, that produces 400 defaults. At Carvana's average loan size of approximately \$35,000, that's \$14 million in losses from this segment alone — 3.2% of a typical \$435 million pool consumed by just 3% of the borrowers." - how does a 40% loss on 3% of loans mean a loss of 3.2%? The problem is that 34,000 loans X \$35,000/loan =/= \$435 million (it's \$1.19bln).
- 5) FWIW, the YouTube stuff seems weak. They're trying to use the same data set as a control by scoring sensationalism but they probably should've put the same model loose, with the same prompt, on transcripts from a period where we KNOW the ensuing results (i.e. does it think commentary from late 2020/early 2021 is bearish or bullish) while trying to avoid letting the LLM figure out what period these transcripts are from. Because what they have is a model set loose on a single data set - maybe the *model's* interpretation is skewed - how would we know?

Subject Re: Re: New Short Report
Entry 02/08/2026 01:15 PM
Member CaptainAyub

The simplified way to look at this is: if consumers were feeling jibbed by CVNA's offered APRs, they can certainly go elsewhere for financing.

these short reports are written in a confusing way intentionally, to confuse the marginal shareholder and force them to sell. Plenty of long onlies who truly don't understand the business yet but still own multiple tens of millions of \$ of stock.

Subject Re: Re: Re: New Short Report
Entry 02/08/2026 02:01 PM
Member Light62

You may be correct about the short reports being intentionally long-winded and confusing but the idea of this most recent one isn't that Carvana is tricking the borrowers/buyers - it's that Carvana is tricking the ultimate lenders (ABS buyers). And, yes, they can also go elsewhere to buy ABS but it's not implausible that they're selling toxic assets - in the run-up to the GFC the mortgage originators weren't tricking the home buyers (though they were enabling them), they were implicitly tricking the buyers of the mortgages.

Subject Re: Re: Re: Re: New Short Report
Entry 02/08/2026 04:12 PM
Member CaptainAyub

If they were tricking buyers why would they keep coming back for more Carvana issued ABS paper? These are sophisticated investors. They are only coming back because the risk adjusted returns they are earning are in line or better than expectations. Several securitization desks have pressure tested Carvana abs deals from 2022-23 as well they are currently all performing well and not showing any impairment.

Subject Re: Re: New Short Report
Entry 02/18/2026 04:09 PM
Member Thor25

Tell me more about that podcast w Dan Gill

Subject Re: Re: Re: New Short Report
Entry 02/18/2026 05:52 PM
Member lars

The podcast is a great resource for anyone genuinely interested in understanding this business - apologies that you did not find it useful. I hope that others do. I don't ever recall hearing you talk about reconditioning costs. This is an incredible team with a clear line of sight to typical retail leading market share in the largest retail market. A reconditioning cost hiccup doesn't change that. Anyways, this will be my last attempt at dialogue with you. Best of luck, Thor.

Subject Re: Re: Re: Re: New Short Report
Entry 02/18/2026 06:10 PM
Member Thor25

In my last reply to Ayub where I said below 2.9bn for FY26 EBITDA, I specifically said I thought retail GPU would be down in addition to other GPU. No knock on Dan Gill's podcast, I'm sure it is good and I have enjoyed listening to him and Ernie talk about the business in the past. I guess all the bulls dunking on bears despite weak numbers for two straight quarters and real discrepancies and inconsistencies identified in short reports had me feeling a bit snarky. The debate has started to feel a bit dogmatic / rorschach testy so if you want to block me that's fine. I feel I brought a bunch of information to the surface and was transparent about my views and thought process with the comments on your thread and in my writeup. As I said many posts ago, I have lots of respect and good will for many CVNA longs but I continue to believe this is an attractive risk / adjusted short at AH prices for a multitude of reasons laid out in this writeup and elsewhere.

Subject Re: Re: Re: Re: Re: New Short Report
Entry 02/18/2026 06:44 PM
Member amr504

Thor, you've done a great job on this idea. The dunking from the bulls has been next level here, and it appears they can't take it... only dish it. Typical.

Subject substance of activist short reports
Entry 02/18/2026 07:12 PM
Member specialk992

Thor, congrats on this one, you appear to be right for the right reasons.

Not to beat a dead horse, but what is your take on the activist short reports from Gotham including the one from today? I feel like they might have done a good job selecting a target but the reasons for the stock drop have much more to do with your writeup (operational problems and pressure on retail GPU) than anything in the DriveTime financials or possible related party subsidization. I spent some time with the DriveTime financials and it seems like the 2 big conspiracy theories around Carvana- that either DriveTime is subsidizing them through related party services provided below cost that generate losses for DriveTime that are backfilled from Garcia Sr. contributions funded from CVNA stock sales or that they are secretly buying loans from Carvana at above market prices aren't really shown in the DriveTime financials. Garcia Sr. seems to be taking cash out of DriveTime as well and DriveTime's cash flow statements show relatively modest loan purchases that according to the footnote come from GoFi, not CVNA. The new report today purports to show that CVNA loans end up being owned by BridgeCrest, given the modest number of examples found by Gotham (34 when CVNA sells 60K cars annually) makes me wonder if this is some kind of administrative data issue caused by BridgeCrest being the servicer rather than anything nefarious.

Certainly stock is expensive enough that if another shoe dropped regarding related party transactions there could be another shoe to drop. I just haven't seen a theory on the related party subsidization that seems consistent with the DriveTime financials.

Subject Re: Re: Re: Re: Re: Re: New Short Report
Entry 02/18/2026 07:16 PM
Member lars

Ah, apologies - I don't mean to be like that amr504. The podcast comment seemed like a childish one while I thought the podcast was genuinely useful, plus none of my questions had been answered re: the regurgitated short reports. Anyways, best of luck to all. I think this will end up being the most compelling company / investment of our careers, but that's what makes a market!!

Subject Re: Re: Re: Re: Re: Re: New Short Report
Entry 02/18/2026 07:17 PM
Member CaptainAyub

Actually you've not been right on anything. So taking a victory lap here doesn't make any sense.

Were I or many bulls wrong about modeling this quarter? Sure. Will admit that. Numbers do come down for 2026.

They'll fix the Recon cost issue. 3-6 months is what Ernie said and knowing him he will get it to an even better spot than they would have otherwise been in. finance and other GPU actually grew y/y.

they publicly said on the earnings call the short report allegations (not yours) are factually incorrect and they've been through details of all them.

The Crux of your thesis is finance GPU is overearning and it's not! So pls be humble in admitting your on the right side of this trade for now but for the wrong reasons.

ill admit I was caught off guard by this print like several others but in some quarters this will be a blip and the march towards 3m units at best in class profitability will continue

Subject Re: Re: Re: Re: Re: Re: New Short Report
Entry 02/18/2026 11:39 PM
Member yxd0950

agreed. as long as there's no shenanigans in finance GPU the rest is just noise for the long term.

congrats to short on this quarter and it also creates great opportunities to buy into the temporary weakness.

the best scenario is both bears and bulls make money on this phenomenal company.

Subject Re: substance of activist short reports
Entry 02/19/2026 12:00 AM
Member Thor25

Thanks SpecialK. From here I think the fundamental short case should continue to play out as scaling challenges continue, competitive pressures (Amazon, LLM search funnel disruption, Carmax) mount, cash outflows for Adesa conversions and cash pay on debt weigh on liquidity, and the next shoe to drop will in our view be GOS / other GPU. WRT the Gotham reports, obviously the first one had some errors, however DT is carrying a lot of debt and the DT / BLAST securitizations have not been doing great. Yes, those deals are priced for very high CNLs, but recently the cash traps have kicked in on some issuances and DT was forced to retain the mezz tranche for BLAST 2025-3. I continue to believe that being long CVNA you are short OTM puts in DT / BLAST due to the heavy reliance on servicing, VSC, wholesale, etc.. I've maintained that from the start of my work here and if anything think it is more true today, so DT / BLAST being on tenuous footing is a fundamental risk for CVNA irrespective of the loan cross pollination.

I believe the Robbins Geller class action discovery is also going poorly for CVNA and the class will likely be certified this year with case going to trial in 2027, forcing CVNA to disclose the suit as a specified pending litigation proceeding in the financial statements from Q3 onward. Since the stock traded \$300 and went to \$30 at class period end, plaintiffs will allege damages are in the tens of billions so this becomes a real tail risk and overhang to the stock. The SEC investigation is also a risk, lightly though some may take it.

Agree that the sample size of 68 loans found by Gotham is small, and don't know whether it is immaterial, the tip of the iceberg or something in between. I do believe that the existence of GoFi and the presence of these cross-pollinated loans suggests there could be some type of scheme / mechanism at play to boost liquidity, profits or both. If this is the case, I also suspect that the ongoing discovery from the class action lawsuit and the SEC investigation combined with issues in the ABS could wind up exposing whatever is going on. I'll keep poking around and digging but honestly, am I going to be the one to break it open? Doubtful, but now that the roadmap is out there others are going to be try to pull on all the threads as we have seen with Gotham and Abelian.

Will be interesting to see what happens with CVNA 2026 P-1.

Don't think there is a strong buy case to be made here given the vague guidance, meager FCF that will be further pressured by cash pay and capex ramp, and risks of other shoes to drop. Stock ref \$300 is trading at 80x trailing FCF before cash pay and capex increases. Also, it's a pretty crowded long / HF hotel name these days, so positioning is full and the catalyst map doesn't look hot.

To be continued.

Subject Re: Re: substance of activist short reports
Entry 02/19/2026 05:27 AM
Member CaptainAyub

Units are accelerating
 retail GPU will be fixed
 catalyat map is very clear

Competitive pressures? If they were playing out why would units be accelerating?

carmax grew units -9% in the previous quarter whereas CVNA was 40. Now carmax has increased to +5, and CVNA has accelerated to +50. The stuff you say is just not backed by evidence.

cash - they have net debt to EBITDA of <1x, and are very cash generative at this point.

anyway, time will tell this is a blip. Honestly I thought you would be more intellectually honest here and admit you are right for the wrong reasons, but clearly not - you're just like all the other short report guys who draw random conclusions between unrelated items to paint a ghory picture and scare people.

good luck, enjoy the win and we shall reconvene in 3 months' time

Subject Re: Re: substance of activist short reports
Entry 02/19/2026 08:45 AM

Member

Thor25

Generally, margins coming down and deteriorating unit economics are signs of increased competition as well as sloppy execution. Here it's a bit of both, unless you take them literally that they are "passing on savings" to consumers just because they are such nice guys. In addition to our arguments that competition would impact retail GPU, we also made the case that the reverence for management is excessive given past history of boom and bust cycles and execution slip-ups, which happened again in this quarter.

BTW longs in these types of stocks from my experience generally say when the shorts win it's because they got lucky and never because they were smarter, but this sort of ego contest is really irrelevant. I do think it's funny you asked me to be humble and admit I am wrong when the buy-side bulls were off by \$500m+ on starting '26 EBITDA which is now calibrating around 2.85bn and which we still think there's a good chance they miss.

Subject Re: Re: Re: Re: substance of activist short reports
Entry 02/19/2026 10:31 AM
Member ThinkAnew
 this is too hard. let's go back to studying Costco :)

Subject Re: Re: Re: Re: substance of activist short reports
Entry 02/19/2026 10:38 AM
Member CaptainAyub
 They'll still do \$3.5bn

"Competition is impacting retail GPU"

No, it's not. It's higher operating costs. Sloppy execution, sure. This happens when a business grows rapidly.

I just told you that their unit growth is 50% while KMX and the industry is 5% or 0%. You conveniently ignored that.

What happened to your thesis on Finance GPU? That was the crux of your thesis, you've conveniently ignored that it's been disproven. All that math you did which was false on GoS to private parties.

Subject Re: Re: Re: Re: Re: substance of activist short reports
Entry 02/19/2026 11:13 AM
Member Thor25

I have very high conviction on GoS trending down this year based on the 2025 P-4 deal and the performance of the ABS, so it's actually bad for the bulls that this quarter's miss wasn't from outsized GoS compression. Ally and private pools are unlikely to keep monetizing at these levels during 2026.

edit: and yes I acknowledge CVNA is growing a lot faster than KMX. Didn't realize that was the debate we are having and probably accounts for some of the massive delta in valuation between the two companies, although recently KMX sales data has been better from a 2nd derivative perspective than CVNA which we think is interesting.

Subject Re: Re: Re: Re: Re: Re: substance of activist short reports
Entry 02/19/2026 11:44 AM
Member CaptainAyub
 - If ABS performance has been poor, why is it that GoS has not declined but is actually improving?

Btw, I modeled out the 5 problematic deals using Intex software, and even in extreme Stress scenarios, all of them pay out in full, maybe 3-4 months later than expected, but with zero impairment to ABS investors, even the Class E tranche.

- Re KMX, just remember, growing +5 on negative comps is fine, but not impressive. Growing +50 on +40 comps is far more impressive and the market pays up for that kind of growth.

Subject Re: Re: Re: Re: Re: Re: Re: substance of activist short reports
Entry 02/19/2026 11:48 AM
Member amr504
 Hey Captain -- just curious, what are your other high conviction longs? TIA.

Subject Re: Re: Re: Re: Re: Re: Re: Re: substance of activist short reports
Entry 02/19/2026 04:48 PM
Member CaptainAyub
 Don't have any as high conviction as this

But Appian is going to zero and AutoNation, well, I'd rather own a share winner that has 6x'd vs one that is up 30% over the last two years :)

Subject Re: Re: Re: Re: Re: substance of activist short reports
Entry 02/19/2026 07:03 PM
Member JackBlack

Not sure how you can say that competition is not impacting retail GPU, Captain. Ernie couldn't answer the question about why reconditioning inefficiencies didn't impact prior quarters. More likely, the higher level of competition caused the erosion in retail GPU, and Ernie has just identified that reconditioning is an area that he can turn to to try to boost GPU in the future.

I'm a long-term CVNA bull, but I think a de-rating in the multiple is warranted here while CVNA proves that it can continue to grow rapidly at this larger scale without compromising GPU.

Having said that, I'm now ready to take my whipping, Captain.

Subject	Re: Re: Re: Re: Re: substance of activist short reports
Entry	02/20/2026 04:02 AM
Member	CaptainAyub

Well, perhaps tell me how competition is affecting GPU? As a "long-term CVNA bull", you should know that the industry is highly fragmented, and at 1.5% market share each, CVNA and KMX are not really butting heads with each other much.

If your point is about retail price depreciation, this happened mostly due to supply increases from off-lease/fleet vehicles and prices being a bit elevated post Liberation Day - not due to competition from KMX / Franchise Dealers. In fact tracking KMX's pricing, it only meaningfully started to go lower in late December / early Jan, so that couldn't have affected 4Q25.

Pricing has also reversed in Jan/Feb, up 1.5%.

Fixed costs are about 4-5% of COGS at this point, so you can do the math - if units are up 20% sequentially, which they will be, that will help lever fixed costs 80 to 100 bps, which on a \$25k vehicle and \$22k purchase price, might mean \$150-200 benefit in GPU. Not to mention pricing has reversed per above so they will benefit from the lag there.

And as a long-term bull, you probably know that Ernie is not going to stop at fixing this, in fact, he will go to the other extreme by getting recon costs down so much that it will be another structural improvement in profitability.

Don't disagree on temp de-rating in the multiple. 23-25x EBITDA seems right to me for now, needs evidence for Retail GPU growth for 1-2 quarters to go back to the high 20s.

Subject	Green Tree
Entry	02/21/2026 08:00 AM
Member	pat110

Carvana and Garcia, to me, rhyme with Green Tree Acceptance and Coss. Younger members may want to look that one up. Lots of diddling with numbers.

Subject	Re: Green Tree
Entry	02/21/2026 12:07 PM
Member	natey1015

Here's another short report someone sent to me...

<https://substack.com/home/post/p-188561528>

Subject	Re: Re: Green Tree
Entry	02/21/2026 09:25 PM
Member	Thor25

Nice, it's not really a weekend if there isn't a new CVNA short report to read right?

Subject	2026 P-1
Entry	03/04/2026 10:15 PM
Member	Thor25

APR down to 10.67%, coupon up to ~4.5%, nets out to GoS on Prime ABS of 6% vs. 7.6% last Q. Could be early signs of the model coming under pressure due to the added scrutiny of short sellers like Abellian and Gotham. Atlas, a warehouse lender affiliated with Apollo is also co-managing the issuance. If and when private pools and Ally converge with public ABS (and we see no good reason why they shouldn't, especially considering Garcia Jr. himself characterized these as "market based" deals at the MS TMT conference), we're talking about significant incremental pressure on GoS margin starting as soon as Q1.

As stated previously, we think the GoS thesis not playing out in Q4 (but CVNA still missing on retail GPU) was a clear negative for the stock, as CVNA will have to take its medicine on GoS sooner or later.

Subject	Re: 2026 P-1
Entry	03/06/2026 08:09 AM
Member	CaptainAyub

GoS is down about 50bps q/q on this deal, but this is only 25% of the total pool. Plus you are forgetting ancillary product penetration keeps increasing. Also there was a backlog built this past quarter on GPU. I think overall Other GPU will be pretty flat sequentially and maybe even up a bit.

Subject
Entry
Member

Re: Re: 2026 P-1
03/06/2026 11:00 AM
Thor25

	2025 P4	2026 P1
APR	11.24%	10.67%
CPN	4.10%	4.46%
Service Fee	1.0%	1.0%
Excess Spread	6.14%	5.21%
WAL	2.35	2.35
Estimated	3.10%	3.00%
ESTIMATE \$	105,892,163.00	\$97,121.55
Assumed IRR	12.50%	12.50%
RESIDUAL \$	80,288,878.53	\$73,638.88
Transaction	-0.50%	-0.50%
Reserve at	-0.50%	-0.50%
Gain-on-sale \$	70,941,878.53	\$63,131.87
% Margin	7.59%	6.01%

Subject
Entry
Member

Re: Re: Re: 2026 P-1
03/06/2026 02:31 PM
CaptainAyub

For starters, your coupons are flipped. 25-P4 was 4.4%, 26-P1 is 4.17%.

Subject
Entry
Member

Re: Re: Re: Re: 2026 P-1
03/09/2026 09:58 AM
Thor25

I did have a glitch in my calc, but yours was also wrong....anyway we have the actual terms rolling in now so will revert:

	2025 P4	2026 P1
APR	11.24%	10.67%
CPN	4.24%	4.28%
Service Fees	1.0%	1.0%
Excess Spread	6.00%	5.39%
WAL	2.37	2.25
Estimated CNL	2.85%	3.00%
ESTIMATED INCOME \$	106,275,390.00	\$ 95,902.73
Assumed IRR	12.50%	12.50%
RESIDUAL SALES \$	80,389,852.01	\$ 73,576.28
Transaction/admin fees	-0.50%	-0.50%
Reserve account funding	-0.50%	-0.50%
Gain-on-sale Margin \$	71,042,852.01	\$ 63,069.27
% Margin	7.60%	6.00%

Subject
Entry
Member

Re: Re: Re: Re: 2026 P-1
03/09/2026 12:14 PM
Thor25

2025 P-4

Class A-1A2A3 A4B C D N
Spread 2057 606797140195170

2026 P-1

Class A-1A2A3 A4B C D N
Rate guide 2560 6769110150185165

Guidance for spreads is def slightly wider and in line with my (corrected) coupon assumption. 2025 P-4 was not 4.4% and 2026 P-1 is not 4.17%...Lets recount the thumbs up / down on this one and also, let's see where it prices after the close (I assume). Tried to post the screenshots but it got messed up. The '26 is high end of 2 to 5bps wide guided range (10 for D)

Subject
Entry
Member

Re: Re: Re: Re: Re: 2026 P-1
03/09/2026 12:27 PM
Thor25

BTW just to be clear, we have APR down, coupon up, CNL up sequentially.

Subject	Re: Re: Re: Re: 2026 P-1
Entry	03/09/2026 08:34 PM
Member	Thor25
still not sure how this got 5 upvotes when it's so wrong?	

Subject	Re: Re: Re: Re: 2026 P-1
Entry	03/10/2026 06:07 PM
Member	Thor25
Final pricing. Other than A2 everything at high end / above guidance. Average spread is +73bps vs. +66bps on 2025 P-4 and ICRV is also a bit higher	

2026 P-1

Class	A-1 A2 A3	A4 B	C	D	N
Rate guide	25 60	67 69	110 150	185 165	
Actual	25 58	71 74	110 160	195 180	

BFW 03/04 16:44 PREMARKETING: Carvana \$1.07B+ Prime Auto Loan ABS
 BFW 03/09 13:51 GUIDANCE: Carvana \$1.07B+ Prime Auto Loan ABS
 BFW 03/10 20:05 LAUNCH: Carvana \$1.07B+ Prime Auto Loan ABS
 BFW 03/04 16:38 *PREMARKETING: CARVANA \$1.07B+ PRIME AUTO LOAN ABS

PRICED: Carvana \$1.07B+ Prime Auto Loan ABS
 2026-03-10 21:49:54 GMT

By Charles Williams
 (Bloomberg) --
 * Total Size: \$1,071,500,000 (No Grow)
 * Offered Size: \$1,017,924,000 (No Grow)
 * Active Joint Lead Bookrunners: BNP Paribas (structuring), Barclays & Citi
 * Passive Lead Bookrunners: Deutsche Bank, Santander & Wells Fargo
 * Co-Manager: Atlas SP
 * Format: A-D: SEC Registered | N: 144A/RegS
 *T

WARNING: This table is too wide to display correctly.

=====									
=====									
CLS TOTAL(\$MM) OFFRD(\$MM) WAL* S/F**									
P.WIN* E.FNL* L.FNL BENCH SPRD YLD(%) CPN(\$) \$PX									
=====									
=====									
A-1 120.290 114.275 0.21 A-1+/F1+ 01-05 08/26 03/27 I-CRV + 25 3.930									
3.930 100.00000									
A-2 309.000 293.550 1.00 AAA/AAA 05-20 11/27 06/29 I-CRV + 58 4.136									
4.10 99.99932									
A-3 309.000 293.550 2.30 AAA/AAA 20-37 04/29 02/31 I-CRV + 71 4.308									
4.26 99.97863									
A-4 199.980 189.981 3.67 AAA/AAA 37-53 08/30 07/32 I-CRV + 74 4.397									
4.35 99.97558									
+									
B 43.080 40.926 4.57 AA/AA 53-58 01/31 07/32 I-CRV 110 4.813									
4.76 99.97785									
+									
C 47.280 44.916 5.07 A/A 58-65 08/31 08/32 I-CRV 160 5.348									
5.28 99.95862									

| | | | | | | | + | |

|

D | 22.070| 20.966|5.47|BBB/BBB | 65-66| 09/31|03/34|I-CRV|195 | 5.738|

5.67| 99.99745

| | | | | | | | + | |

|

N^ | 20.800| 19.760|0.45|BB-/BB | 01-11| 02/27|03/34|I-CRV|180 | 5.457|

5.39| 99.99751

R^ |52.957(MV)|-50.309+(MV)--| | | | | | | |

*T

* *Based on 1.30% ABS Pricing Speed to 2% Call

* ^Based on Case 2 assumptions outlined in the Class N OM and Certificate PPM

* **Expected Ratings

* Bloomberg Ticker: CRVNA 2026-P1

* Pricing Speed: 1.30% ABS Pricing Speed to 2% Call

* Min. Denoms: A-D: \$1K x \$1K | N: \$1.0M x \$1K

* RR Compliant: US: Yes | EU: No | UK: No

* Expected Settlement: 03/17/26

* First Pay Date: 04/10/26

* ERISA: A-D: Yes | N: No

* Bill & Deliver: BNP Paribas

Subject Re: CVNA
Entry 04/29/2026 05:50 PM
Member Glory_Warriors

I know everyone does this math differently, so please don't yell at me, but on my math CVNA's gain on sale markup decreased -20bps Q/Q, with the 2026 P-1 securitization down -80bps Q/Q, which implies their gain on loan sales were up +10bps Q/Q? Loan sales being sold at a +180bp markup spread to Prime Securitizations (8.7% vs 6.9%), versus historically being sold at a small discount, which is something like ~\$65mm of extra EBITDA. "Other" loan sales up to \$1.4bn this quarter, 33% of their financing.

	Q1 2024	Q2 2024	Q3 2024	Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026
Markup (%)									
Prime	9.5%	10.3%	11.8%	10.6%	12.1%	9.9%	9.5%	7.9%	6.9%
Subprime	6.3%	6.1%	7.4%		7.2%				
Securitizations	7.8%	7.9%	9.8%	10.6%	10.5%	9.9%	9.5%	7.9%	6.9%
Loan sales	8.0%	7.9%	8.5%	8.6%	9.9%	8.2%	8.9%	8.6%	8.7%
Markup (%)	7.9%	7.9%	9.1%	9.1%	10.1%	8.5%	9.0%	8.4%	8.2%

Subject Re: Re: CVNA
Entry 04/29/2026 06:38 PM
Member CaptainAyub

A blowout quarter, with 2Q looking like a massive beat on Street/buyside once again. As expected, Recon another example of how Ernie and co have taken a problem and turned it into an opportunity. Expect significant fundamental gains on this line item going forward.

Subject Re: Re: Re: CVNA
Entry 06/02/2026 03:05 PM
Member Thor25

Ayub - how do you feel about the unit decel past two weeks? Also 2026 P-2 printing mid 5% prime GoS...can CVNA really keep getting Ally and Athene / Cerberus / Guggenheim (or whoever these mystery men are) to keep paying HSD over par for subprime in this environment?

Subject Could be nothing
Entry 07/20/2026 07:01 PM
Member Thor25

We called out Guggenheim as one of the potential "mystery buyers" of CVNA paper....we might find out soon if our suspicion is correct!

<https://www.bloomberg.com/news/articles/2026-07-20/billionaire-mark-walter-s-firms-probed-by-federal-prosecutors>

Subject Special Master

Entry
Member

07/21/2026 12:56 AM
Thor25

Latham doesn't usually get smacked down like this. Oct 1 discovery deadline.

³ Also, like Exhibit 7, Carvana seeks to redact from Exhibit 8 more information in its Objection than it sought to redact before the Special Master in the first instance. *Compare* Decl. of Matthew Peters at 2 (noting redactions at “pages 121, 123-26, 129, and 146-50”); with CVNA_CA_00006738-6891 (only containing redactions at corresponding pages 121, 123-24, 129, 146, and 149). *[Note: For the avoidance of ambiguity, the actual page numbers in the Special Master’s redacted copy were all lower by one, because of the addition of a cover page on Exhibit 8. In other words, the redactions in the Special Master’s original redacted copy, because it does not have a cover sheet, are at 120, 122-23, 128, 145, and 148. In this footnote 3, except for this Note, all page numbers correspond to those in Exhibit 8 and not the Special Master’s redacted copy.]*

Further, the Special Master notes that, in addition to the three newly redacted slides in Exhibit 8, Carvana also broadened its redactions on two slides. Specifically, on page 121, Carvana originally redacted only bullets 1 and 4, but changed its submission to the Court to redact the entire slide; and on page 146, Carvana expanded from initially redacting only bullets 1, 2, and 3 (excluding sub-bullets) to again redacting the entire slide.

The Special Master is very concerned that, if the Court had simply reviewed Carvana’s Objection without referring the matter back to the undersigned, the Court could not have known it was being asked to review different redactions than what had been originally presented to the Special Master. The expanded redactions on pages 121 and 146 are especially problematic because Carvana reviewed those slides, made affirmative redaction decisions before submitting them to the undersigned, and then altered those redaction decisions when objecting to the Special Master’s Ruling—with no acknowledgement of the change. This was not simple inadvertence and is **troubling**. It is also confusing, because the Special Master understands Carvana already produced to Plaintiffs the original, less-redacted version of this document.

Returning to the merits, for the same reasons set forth in footnote 2, above, the Special Master finds Carvana’s privilege assertions over the proposed new redactions on pages 121, 125-26, 146-148, and 150 of Exhibit 8 are waived.

The Special Master’s updated conclusions regarding Carvana’s privilege claims over the eight documents are set out below. For the reasons stated, the Special Master re-affirms the original rulings for seven of the challenged documents and changes the original ruling for one document. To facilitate any additional review by the Court, the Special Master provides more detailed and thorough explanations than would normally appear in an original Ruling. Unless otherwise directed, going forward the Special Master does not intend to provide the parties with meticulous discussions for each of the tens of thousands of documents Carvana has listed on its privilege log.

Finally, before turning to the analysis of each of the eight documents, the Special Master highlights an issue discussed in footnotes 2 and 3 below—that is, changes to redactions by Carvana within a given document. As noted in the Tranche One Ruling, Plaintiffs originally identified 364 documents for review in Tranche One; Carvana responded by dropping its privilege claims for all but 157 of those documents; and the Special Master upheld about half of Carvana’s privilege claims. Given this roughly 20% Tranche One “success rate,” the Special Master “strongly suggest[ed] Carvana should undertake an additional, careful assessment of *all* of the documents listed in its privilege log and remove those where the privilege claim is not appropriate.” Tranche One Ruling at 9. As of this writing, Carvana has stated it is undertaking this re-assessment, but it has not produced to Plaintiffs a modified privilege log nor any documents removed from the log.

Subject GoS compression
Entry 07/30/2026 04:24 AM
Member Thor25

Starting to hit now...7% blended for Q226 with privates compressing by over 100bps q/q, driving a miss vs. buy-side consensus for Q2 EBITDA. Ally over 40% of originations in the Q and renewed the agreement sufficient to maintain but not grow from current run rates, so CVNA is going to need to ramp public securitizations which are coming in close to 5%. The difference between 7% and 5% is another \$400m of annualized EBITDA. The legal / regulatory proceedings create more optionality for the short into the back half with a 10/1 discovery deadline and likely MSJ coming from plaintiffs around then. The Mark Walter related party probe could cause hiccups to the securitization model to the extent Delaware Life or other entities prove to be holders of CVNA paper.

Street coming down by \$150m EBITDA in the back half is a pretty sizeable cut and the \$2.7 - \$3bn guide is well below the \$3.5 - \$4bn we were told was a layup not so long ago. Expectations feel more realistic now but this still isn't a clear the decks moment given the company specific risks.

Subject Re: GoS compression
Entry 07/30/2026 09:08 AM
Member StockOperator

Just chiming in to say great call (so far), and really impressive conviction calling this a few quarters in advance.

Is there any better feeling than being contra & correct Thor?

Subject Re: Re: GoS compression
Entry 07/30/2026 09:42 AM
Member Thor25

Thanks!!

Subject Estimates still not a slam dunk
Entry 08/20/2026 01:30 PM
Member Thor25

Based on the recent pricing of 2026 P-3 which we estimate had a <5% GoS and which was upsized to 1.57bn from 1.1bn in Q2, GoS / Other GPU could easily miss again in Q3. As we pointed out, the Ally MPSA was running above its annual cap in Q2 so other levers to fund incremental growth are higher public ABS issuance or more fixed pool sales. CVNA is taking the path of higher ABS issuance in Q3 but that is margin dilutive vs. MPSA and especially fixed pools. We assume in our modeling that the fixed pool bid stays constant at \$1.5bn per quarter, but given what is happening in the markets around the Mark Walter probe and private credit this could prove optimistic. If fixed pools dry up CVNA will have to come back to the markets for subprime ABS and we will see where that clears. Also, the sell side has flagged higher inventory and increased discounting in Q3.

Subject	Production related to an ongoing State Investigative Matter - from last night
Entry	09/22/2026 02:38 PM
Member	Thor25

15	Pending before the Court is the parties' "Joint Motion for Discovery." (Doc. 639.)
16	I. SUMMARY OF CONCLUSIONS.
17	The instant discovery dispute involves a non-public State Investigative Matter (the
18	"Investigation"). The Investigation, which began in October of 2022, involves alleged Title
19	and Registration ("T&R") violations committed by Defendant Carvana—in and amongst
20	other alleged violations. Although this Investigation began only two months after the
21	instant action arose, its existence was not disclosed to Plaintiffs until, in Defendants' view,
22	November of 2025, and in Plaintiffs' view, June of 2026. Although the date Plaintiffs were
23	made aware of the Investigation remains contested, what is clear is that Investigation
24	materials were incrementally produced by Defendants between January 2026 to June 2026,
25	followed up by a large-scale disclosure in July of 2026. A majority of these documents
26	were not produced until after Plaintiffs conducted depositions of several deponents.

At issue today is the non-public State Investigative Matter. (Doc. 639 at 2.) This Investigation began in October of 2022—two months after the instant action commenced. (Doc. 668 at 7)¹; (doc. 640-1.) While the investigation touched upon several different matters irrelevant to the instant action, it also addressed T&R violations similar to those at issue in the instant action. (*Id.* at 6.) While the Investigation remains ongoing, it appears—

¹ Given that the circumstances underlying the instant discovery dispute are the same as those involved in Plaintiffs' Motion for Sanctions (doc. 661), the Court shall rely upon the exhibits and briefings contained in both disputes to address the instant dispute.

- 2 -

Case 2:22-cv-02126-MTL Document 734 Filed 09/21/26 Page 3 of 18

based on the parties' pleadings and exhibits—that its focus on T&R violations is substantially limited to those occurring from 2019 to 2024. *See* (doc. 668 at 7); *see also* (doc. 712 at 5–6); (doc. 669-3 at 2); (doc. 669-8); (doc. 669-10 at 7.) During this timeframe, the Investigation asserted that Defendants failed to provide timely T&R in thousands of transactions each year. *See* (doc. 640 at 2); *see also* (doc. 669-10 at 7); (doc. 669-8 at 13.) Defendants have disputed those statistics in communications with the Investigation. (Doc. 712-6 at 3–5.)

Particularly at issue today are materials in the custody of Christopher Olson, Wilson Munsil, Paul Breaux, Mark Murphy, and Maggie Hawn—all of whom are employed by Defendants. (Doc. 701.) Of the five, Olson, Munsil, and Breaux are in-house counsel for Defendants. *See (id.)* The remaining two are non-attorneys who worked at the direction of Defendants' in-house counsel. *See (id.)*; *see also Carvana Defendants' Position on*

VI. CONCLUSION.

For the foregoing reasons, the Court finds that materials created by Defendants' in-house counsel and their non-attorney agents are protected from disclosure by the attorney work-product doctrine. However, materials already provided to the Investigation and the underlying facts, data, and statistics used in formulating materials related to the Investigation's inquiry into T&R matters—whether those materials were produced to the Investigation or not—are discoverable and not protected by the attorney work-product doctrine. Thus, the parties' Joint Discovery Motion is granted in part as to Plaintiffs and in part as to Defendants.¹²

Mark Jenkins and EG III depositions are coming up in the next week. I can't imagine Latham / CVNA are feeling good about where this case stands as discovery winds down by 10/2. Wouldn't be surprised to see an MSJ filed by plaintiffs before year end if they feel they have a smoking gun.

